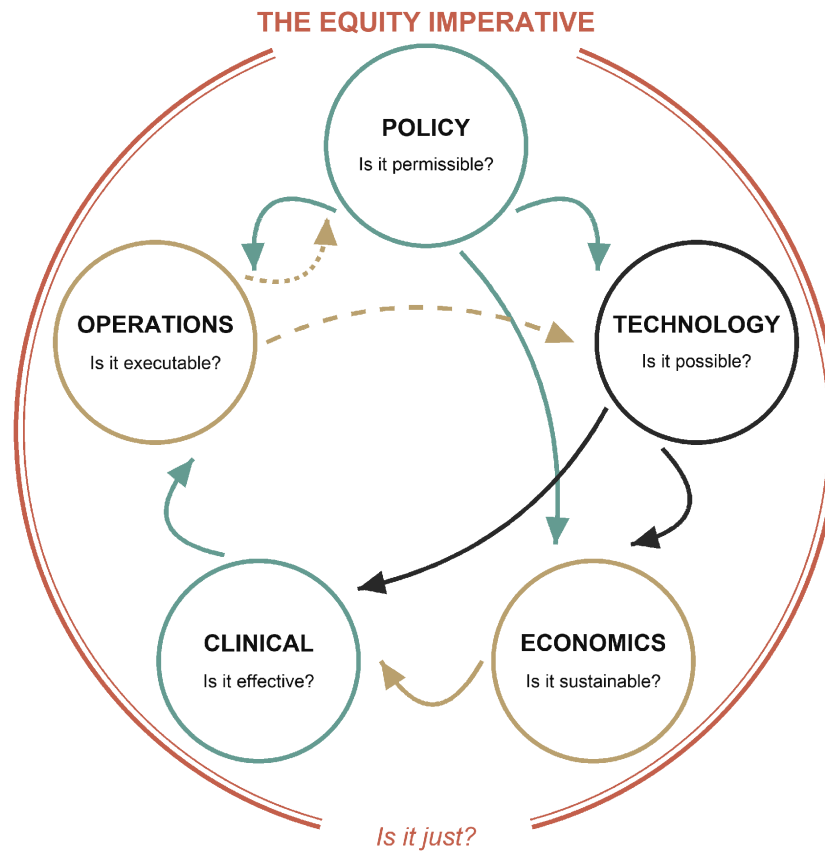


# TRANSFORMING HEALTHCARE

*A Five-Pillar Framework with Vermont as the National Proving Ground*

Bechir BenSaid



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# PREFACE

This book began with a room full of people who already knew something was wrong.

In September 2024, the Green Mountain Care Board (GMCB) of Vermont convened the public meeting — recounted in detail in the Introduction that follows — at which the consulting firm Oliver Wyman presented the findings of a year-long, \$1 million statewide hospital systems analysis. The people in that room had come because they suspected what was about to be confirmed, and because some part of them still hoped they were wrong.

They were not wrong. Nine of Vermont's fourteen hospitals were already operating at a loss. Thirteen of fourteen would be in the red by 2028, absent structural intervention. The cumulative five-year system deficit ranged from \$700 million to \$2.4 billion. Premiums had risen 108% in six years while household income grew 22%. The working-age population that funds the cross-subsidy keeping rural hospitals alive was declining. The over-65 population was growing toward 30% of the state.

That room is the origin of this book. Not because Vermont is uniquely troubled — every American state is facing some version of the same forces on a time delay — but because Vermont is early. Early in its demographic aging. Early in its hospital financial fragility. Early in its recognition that thirty years of voluntary payment reform have not changed the fundamental incentives of the system. And early, therefore, in its willingness to do something that no state has done with this level of statutory specificity and capital commitment: mandate structural change.

## BEYOND VERMONT

“On a time delay” is measurable, not rhetorical. In 2020, three states had more residents over 65 than under 18: Maine, Vermont, and Florida. By 2024 there were eleven — Delaware, Hawaii, Montana, New Hampshire, Oregon, Pennsylvania, Rhode Island, and West Virginia had joined them. Vermont now ranks fourth-oldest in the country by median age (42.8), behind Maine (45.1), New Hampshire (43.0), and West Virginia (42.9).

The financial consequence is arriving on the same delay. Nationally, 41% of rural hospitals operate in the red (Chartis Center for Rural Health) and roughly 768 are at risk of closing, 315 of them within three years (Center for Healthcare Quality and Payment Reform). Vermont's nine-of-fourteen — 64% — is not a different problem from the national one. It is the national problem, further along. The states listed above are the ones for whom this book is least hypothetical.

This book is the analytical framework for that change. It is not a policy brief for or against any particular agenda. The five goals of Vermont's Act 167 — reduce inefficiencies, lower costs, improve health outcomes, reduce health inequities, and increase access to essential services — are goals that virtually every person across the political spectrum would endorse. The means for achieving them are legitimately contested. This book engages that contestation honestly and presents both sides where the evidence genuinely runs in two directions.

The framework is organized around five pillars: Policy, Technology, Economics, Clinical, and Operations. It emerged from the conviction that transformation fails when it addresses any single pillar in isolation. Payment reform without clinical redesign produces financial savings that evaporate when care models do not change. Clinical quality improvement without payment reform produces better care that the financial system immediately discourages. Technology investment without operational readiness produces platforms that no one uses. Equity goals without structural investment produce aspirations without outcomes.

That last failure is why equity does not appear here as a sixth pillar. It is the **Equity Imperative** — a single justice test that each of the five pillars must pass on its own terms, not a separate workstream that could be sequenced last, funded least, and deferred the way a standalone project can be. The Introduction explains why that distinction is structural rather than rhetorical, and Chapter 1 applies the test pillar by pillar.

**The five pillars must move together — which means the people responsible for each pillar must understand all the others.**

Vermont runs through this book as its primary teaching case. Vermont is in this book not because it is large or powerful, but because it is transparent. The combination of a small state's intimacy, a strong public-sector analytical tradition, and an active regulatory body in the Agency of Human Services (AHS) and the GMCB has produced a documentary record — the Oliver Wyman analysis, the GMCB's monthly hospital data, the AHS transformation reports, the AHEAD State Agreement — that gives this book a foundation most states cannot match. Vermont's transformation is happening in public, with detailed public data, and the lessons transfer.

This book is also not a prediction. The transformations described here are underway but unfinished, and their outcome is genuinely uncertain — the Introduction's "What This Book Cannot Do" section says plainly what this book does and does not claim to know. What this book provides is the analytical framework for understanding what is happening and why, and for contributing to better decisions as the story unfolds. The decisions, and their consequences, belong to the people who make them.

Finally, this book is not, on its own, the whole of the argument. This book is the intellectual foundation of the **Health Transformation Review**, an open-source integrated ecosystem with three parts designed to work as one:

1. The book ([healthtransformationreview.org/book](http://healthtransformationreview.org/book)) you are reading — the framework, the dependency logic, the Vermont evidence, and the national comparisons.
2. The platform ([healthtransformationreview.org](http://healthtransformationreview.org)) — five pillar hubs, a **Research Lab** of nearly forty interactive analytical tools, an **AI Analyst** grounded in this book and Vermont's public-domain source documents, a fifty-state dashboard, and a daily intelligence feed. Every argument in these pages that can be modeled *is* modeled there.
3. The Academy ([healthtransformationreview.org/academy](http://healthtransformationreview.org/academy)) — a structured executive-education layer of courses, tracks, and lessons that teach the concepts hands-on and link directly to the tools that apply them.

The three are deliberately cross-linked. Each chapter ends with two doorways: an "*Explore on the Platform*" guide that maps the chapter's argument to the specific tools that let you manipulate it, and a "*Go Deeper — Academy*" guide pointing to the lessons that teach it hands-on. The platform's tools carry "*From the Book*" callouts back to the chapters that explain them; and the AI Analyst can answer a question and route you to the right tool or lesson in the same breath. **Everything in the ecosystem is, in effect, an interactive expression of this book's framework.** You can read the book alone and it stands on its own — but the framework is meant to be *run*, not just read, and the platform is where you run it.

## EXPLORE ON THE PLATFORM

The full ecosystem is at [healthtransformationreview.org](http://healthtransformationreview.org) — read the book online with audio narration at /book, open the Research Lab, ask the AI Analyst, or start a course in the Academy. The Introduction that follows explains how the three components fit together and which to start with for your role.

The reader profiles and recommended reading paths are in the Introduction that follows. Use them. This material rewards a reading strategy calibrated to your role and your decisions — and to the tools and courses that go with it — not a linear march through the whole book.

January 2026

# INTRODUCTION

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September 18, 2024

The room was full before the presentation started.

The Green Mountain Care Board of Vermont had convened a public meeting at which Oliver Wyman Healthcare and Life Sciences Group would present findings from a year-long, \$1 million statewide hospital systems analysis commissioned under Act 167 of 2022. The analysis had not been produced in isolation: over the preceding year, Oliver Wyman had run more than 230 meetings across all 14 of Vermont's Hospital Service Areas, engaging over 3,100 participants from more than 100 organizations — hospital leaders, state legislators and agency officials, the Vermont Hospital Association, health economists, community advocates, and clinicians. Many of the people who had taken part in that engagement now watched its conclusions arrive. They had come because they already suspected what was about to be confirmed, and because some part of them still hoped they were wrong.

They were not wrong.

Oliver Wyman's lead consultant opened with the financial trajectory. Nine of Vermont's fourteen hospitals were already reporting operating losses, with the worst reaching negative 8.9%. If current trends continued — the same trends that had been building for a decade, the trends that voluntary reform had been addressing for years without reversing — thirteen of the fourteen would be in operating losses by 2028. The cumulative five-year system deficit ranged from \$700 million in the optimistic scenario to \$2.4 billion in the realistic one.

The next slide showed premiums. The average silver exchange plan premium had risen from \$456 per month in 2018 to \$948 in 2024 — a 108% increase. Median household income had grown 22% over the same period. Out-of-pocket maximums had more than doubled. The University of Vermont Medical Center, with approximately 50% of the state's hospital market share, had charged commercial payers roughly 358% of Medicare rates for inpatient and outpatient services combined, according to RAND's hospital price transparency analysis — the highest such ratio of any Vermont hospital, and consistent with RAND's separate finding that UVMMC is the most expensive hospital in Vermont. Those charges flowed directly into the premiums that Vermont families were paying, with no regulatory brakes.

The final slide showed the demographics. Vermont's working-age population was projected to decline 13% by 2040 — from 367,000 to approximately 318,000 — while the over-65 population rose from 21.7% toward 30% of the state's total. This shift would progressively move patients from commercial insurance, which pays above cost and funds the cross-subsidy that sustains hospitals, into Medicare and Medicaid, both of which reimburse below cost. The slide did not say the words “system collapse.” It did not need to.

**Vermont is not an outlier. It is a preview.**

No one in that room disputed the numbers. No one argued that the trend would reverse itself. The question that followed — the question this book is an attempt to answer — was whether structural change was possible. Not aspirational change. Not incremental improvement. But actual change to the fundamental incentives, relationships, and capabilities of the system. Whether a small rural state could force a healthcare transformation that the national system, with all its resources and political energy, had been deferring for decades.

Vermont's answer, enacted in Acts 167, 51, and 68 and partially funded by the federal government, is the case study used in this book. Whether it constitutes successful transformation will be determined over the next five to ten years. What is already clear is that Vermont has committed to structural change with more specificity, more

statutory force, and more capital investment than any comparably sized system in recent American health policy history.

This book is written in real time, closely watching that transformation. Not as a retrospective account of a completed success, but as an analytical framework for a transformation in progress — with all the uncertainty, potentially incomplete public information, and instructiveness that implies.

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## What Transformation Actually Means

Few words in healthcare are used more often than “reform” or “transformation,” and the frequency has cost them precision. Both get applied to routine process improvements and to genuine structural change alike, and to aspiration as readily as to commitment — which makes it worth stating, at the outset, exactly what this book means by transformation.

It uses “transformation” in a precise sense: transformation is structural change that alters the fundamental incentives, relationships, and capabilities of a system, producing different behaviors and different outcomes rather than incremental improvements within the existing structure.

By this definition, most of what has been called healthcare transformation over the past fifteen years has not been transformational. Voluntary accountable care organization programs that high-cost providers can decline to join are not transformation. Shared savings models that reward hospitals for reductions in utilization they would have achieved anyway are not transformation. Electronic health record adoption that digitizes paper processes without changing care delivery is not transformation. Quality measurement initiatives that produce reports without affecting payment are not transformation.

Transformation, in the sense this book uses the term, looks like what Vermont is attempting: mandatory reference-based pricing that eliminates the ability of dominant hospitals to charge commercial payers three to four times Medicare rates; statutory global hospital budgets that change every hospital’s financial incentive from maximizing volume to managing population health; a Statewide Health Care Delivery Strategic Plan that commits Vermont’s Agency of Human Services to specific, measurable outcomes by specific dates; and capital investment through the Rural Health Transformation Program that builds the community infrastructure that payment reform requires to produce population health improvement rather than just cost reduction.

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## Vermont Is Not an Outlier. It Is a Preview.

Readers from outside Vermont sometimes ask whether Vermont’s experience translates to their state, their system, their community. Vermont is small. Its politics are unusual. Its hospital sector — fourteen nonprofit community hospitals, no investor-owned chains, a regulator with real rate-setting authority — is not typical.

The answer is not found in Vermont’s specific characteristics. It is found in the forces driving Vermont’s crisis. The demographic aging that is collapsing Vermont’s commercial cross-subsidy is present in every Northeastern state now, and will arrive in the rural Midwest, the Mountain West, and the South on a ten-to-twenty-year lag. The failure of voluntary payment reform to reach the tipping point at which fee-for-service becomes the minority mode of payment is a national finding. The administrative complexity exhausting physicians and consuming resources that should go to patients is a national emergency. The pricing opacity that allows dominant hospitals to charge two, three, and four times Medicare rates while rural neighbors close — that is national too.

Vermont faces these forces earlier and more acutely because of its demographics and economic structure. But the same forces are building in every state. The question Vermont is answering — whether mandatory structural reform can actually work — is the question American healthcare will have to answer nationally within a generation.

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## How to Read This Book If Vermont Isn't Your Context

This book uses Vermont as its primary teaching case for the reasons explained above: transparency, documentation, and an early position on a curve every state is on. But the subject of this book is the five-pillar framework — Policy, Technology, Economics, Clinical, and Operations — and the dependency logic that links them. Vermont is the evidence, not the scope. If you do not work in Vermont, here is how to get the most out of the chapters that follow.

**Translate the institutions, not just the policies.** Every named Vermont statute or institution in this book is a specific instance of a general category that exists, in some form, in every state. The Green Mountain Care Board is Vermont's version of a hospital rate-setting or cost-growth-benchmark authority — Massachusetts, Rhode Island, and several other states have analogous bodies under different names. Acts 167 and 68 are Vermont's versions of a diagnostic mandate and an operational mandate — the categories, not the bill numbers, are what transfer. AHS is Vermont's version of a state health and human services agency acting as a system operator. The AHEAD State Agreement is Vermont's version of a federal model agreement with CMMI. As you read, ask: what is the equivalent institution, statute, or agreement in my state — even if it is smaller, newer, less formal, or does not yet exist?

**Look for the framework statements, not only the Vermont data.** Each chapter makes a claim about how the pillars depend on one another that does not require Vermont to be true — for example, that technology investment must precede payment reform because payment reform without data infrastructure cannot be measured or trusted. Vermont's experience is the proof, presented in detail because detail is what makes an argument verifiable rather than asserted. But the claim itself is the point.

**Use the “Implications for You” sections as your entry point.** Most chapters close by addressing different reader roles directly — hospital executives, payers, state officials, clinicians. These sections are written to apply regardless of any state context, and are often the fastest way to find the actionable content inside a Vermont-heavy chapter. If you read nothing else in a chapter, read that section, then go back for the supporting detail you need.

In short: treat Vermont the way a business or medical textbook treats a case study. The case is specific so that the lesson does not have to be.

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**Vermont is not the audience for this book. Vermont is the evidence.**

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## The Strongest Case Against This Book's Argument

This book argues that structural, mandatory reform can succeed where voluntary reform has failed. That is a contested claim, and intellectual honesty requires engaging the strongest version of the opposition before asking the reader to proceed on that premise.

## **1. The Price Regulation Argument**

Economists and hospital advocates argue that mandatory reference-based pricing — tying hospital payment to a percentage of Medicare rates — will reduce access rather than improve affordability. If hospitals cannot cover their costs at regulated prices, they will close service lines, exit markets, or reduce Medicaid volumes. Vermont, by this reading, is not pioneering a solution. It is forcing a reckoning that will harm the rural communities it claims to protect.

This is a serious argument. Maryland's experience with hospital global budgets is the primary counterevidence: Maryland has operated all-payer rate regulation since 1977 and maintains rural hospital access comparable to or better than non-regulated states, while holding per-capita cost growth below the national average. But Maryland's model is decades old, built during a different regulatory and demographic environment. Vermont's experiment is newer, its hospitals more financially fragile, and its rural population more dispersed. The access-reduction risk is real and this book does not dismiss it. Chapter 14 (Political Sustainability) analyzes it directly as the primary failure mode to monitor.

## **2. The Global Budget Argument**

Critics of hospital global budgets argue that fixed revenue envelopes create perverse incentives: hospitals that reduce utilization under a global budget model may shift costs rather than eliminate them, delay necessary care to manage within budget, or game quality metrics rather than improve quality. The literature on budget caps and quality outcomes is genuinely mixed.

This book's response is not that global budgets are without risk. It is that the alternative — fee-for-service payment that makes population health management financially irrational — has a documented record of failure that is longer and more extensive than the record of global budget problems. The choice is not between a perfect payment model and a risky one. It is between a payment model that systematically rewards volume and one that, with adequate safeguards, can reward outcomes. Chapter 6 (the Economics Pillar) develops the specific safeguards Vermont's model requires.

## **3. The AHEAD Skepticism Argument**

CMMI has operated innovation models for fifteen years. Most have not produced the savings they projected. AHEAD's predecessor — the Vermont All-Payer ACO Model — produced modest results over nine years despite significant federal and state investment. Why will AHEAD be different?

This is perhaps the strongest challenge in the book. The answer requires acknowledging the critique honestly: CMMI models have generally underperformed their projections, and there is no guarantee AHEAD will be different. What is different about Vermont's approach is the mandatory statutory architecture that AHEAD did not have in its predecessor: Acts 167 and 68 require hospitals to participate in global budgets and reference-based pricing regardless of whether AHEAD succeeds. Vermont's transformation does not depend on AHEAD — AHEAD was to amplify it. This ceased to be hypothetical in July 2026, when Vermont formally withdrew from AHEAD after CMS capped the program's funding; the mandatory state framework under Acts 167 and 68 remained fully in force, and the reform continued without missing a step. The skeptic's question was answered by events — Vermont did not need AHEAD to survive the loss of AHEAD. Chapter 13 (The Future of Healthcare Transformation) returns to this directly.

## **4. The AHEAD Durability Argument**

AHEAD is an eleven-year CMMI model running from 2024 through December 2035, under a single innovation-center framework that has already been modified once (the January 2026 changes extending the end date and adding new accountability requirements) and would have spanned at least one more presidential transition

before Vermont's Cohort 2 implementation was due to begin in January 2028 — an implementation Vermont ultimately abandoned. CMMI's own track record — acknowledged elsewhere in this book — includes models redesigned or discontinued mid-course. The book's response to AHEAD skepticism is that Vermont's mandatory state framework under Acts 167 and 68 remains in force even if AHEAD underperforms or is altered. That is true for the commercial and Medicaid components of Vermont's reform, which Act 68 governs directly. It is not fully true for the Medicare component specifically: Medicare global budgets exist in Vermont's framework only because AHEAD provides them, and no state statute can substitute for a federal payment model on Medicare claims. A reader assessing AHEAD durability should therefore distinguish between "Vermont's reform survives if AHEAD changes" (true, for the commercial and Medicaid pillars) and "Vermont's Medicare global budget survives if AHEAD changes" (not guaranteed, and not within any state's control). That distinction proved decisive: in July 2026 Vermont withdrew from AHEAD after CMS's renegotiation gutted the funding, and the Medicare global budget — the one component no state statute could secure — never took effect. The commercial and Medicaid pillars, governed by Act 68 and the Global Commitment waiver, were unaffected. The durability risk this section warned about was not theoretical; it is now the central fact of Vermont's Medicare story.

## **5. The Oliver Wyman Independence Question**

This book relies heavily on Oliver Wyman's Act 167 analysis. Oliver Wyman was paid \$1 million by the Vermont state government to produce a report that would support the case for reform. That is not independence. Readers should note that the Oliver Wyman financial projections — hospital deficit trajectories, administrative cost benchmarks, workforce shortage estimates — cannot all be independently verified from public sources, and the firm had a client relationship that may have shaped how it framed its conclusions.

This book treats Oliver Wyman's quantitative findings as estimates, not certainties, and notes throughout where specific figures cannot be independently confirmed. The structural argument — that Vermont's system faces a genuine financial crisis requiring structural response — is supported by public GMCB data, independent KFF analysis, and GMCB's own enforcement actions that do not depend on Oliver Wyman's projections.

## **6. The Vermont-Specificity Argument**

The most common version of this objection does not concern any single policy. It is a reaction to the book as a whole: this is a book about one small, unusually homogeneous, unusually transparent state with an unusual regulatory body — does any of it actually apply to a large, diverse, politically fragmented state with a dozen competing health systems and no Green Mountain Care Board?

This objection deserves to be taken seriously rather than answered with a slogan, because the honest answer has two parts, and the second part is a real limitation of this book rather than a rebuttal.

The first part is that the five-pillar framework itself — the dependency logic that determines sequence, the argument that payment reform without clinical redesign evaporates, that technology investment without operational readiness produces unused platforms, that equity gaps require targeted rather than averaged interventions — was not derived from anything unique to Vermont. It is derived from how health systems, payment, technology, and care delivery relate to one another as a matter of structure. A large, fragmented state with a dozen competing systems does not escape this logic; it experiences it in a more fragmented way, with more actors who can defect, more negotiation required to establish anything "mandatory," and a longer, messier sequence. The logic is the same. The execution is harder.

The second part is the real limitation: this book cannot, in one volume, also provide the equivalent depth of documentary detail for every state's version of each institution. Vermont's GMCB, AHS, and AHEAD agreement are described in the detail they are because that detail exists publicly and because Vermont is far enough along its sequence that the consequences of each decision are now visible. A reader in a state without an analog to the

GMCB will not find a chapter-length treatment of their own state's rate-setting politics here. What they will find is a description, in Vermont's case, of what that function does, why it has to exist in some form for the rest of the sequence to work, and what tends to happen when it does not exist or lacks enforcement authority — which is itself the diagnostic question worth asking about their own state.

Put plainly: a reader who finishes this book having learned a great deal about Vermont but nothing transferable about sequencing, payment design, technology architecture, equity accountability, or operational execution has found a real gap between this book's intent and its execution — not a correct reading of a book that was only ever about Vermont. The “How to Read This Book If Vermont Isn't Your Context” section earlier in this Introduction, and the “Implications for You” sections that close most chapters, exist specifically to close that gap.

## **7. The Transition-Window Argument**

Reference-based pricing and global hospital budgets shift a hospital from a system where it can grow revenue by growing volume to one where revenue is fixed or capped. For hospitals already operating below break-even — which, per Oliver Wyman's own numbers, describes most of Vermont's system today — the most dangerous financial period may not be the destination (FY2030 statewide global budgets) but the transition itself: the years in which RBP is phasing in, global budgets are not yet operational statewide, and the underlying losses documented in Chapter 6 remain unaddressed. This book documents both the destination and the starting crisis in detail. It is more cautious about the specific financial bridge that carries a hospital across that gap — the combination of Rural Health Transformation Program funds, AHEAD's Equity, Access, and Statewide Transformation (EAST) Fund payments, and the sequencing of Medicaid versus commercial global budgets — which together determine whether a given hospital remains solvent in fiscal years 2027 and 2028 specifically. A hospital CFO's most pressing question is rarely “what does the system look like in 2030?” It is “what keeps us open in 2027?” Chapter 6 (the Economics Pillar) addresses this transition window directly.

## **8. The Enforcement Question**

This book repeatedly emphasizes that Vermont's approach is mandatory rather than voluntary, and treats this as the central correction to OneCare's design flaw. But a mandatory regime is only as real as its enforcement, and a skeptical reader is entitled to ask: what actually happens to a hospital that does not comply — that refuses a global budget, or continues billing above the reference-based-pricing ceiling? Act 68 gives GMCB subpoena authority and data-sharing power with the Department of Financial Regulation, and the answer is no longer hypothetical. GMCB's FY23 enforcement actions against UVMMC (\$80.3M overage) and RRMC (\$11.1M overage) were the first such enforcement actions in Vermont's regulatory history, and UVMMC's subsequent court challenge to that enforcement — Vermont's largest, most powerful hospital system testing GMCB's authority directly — was decided against UVMMC. That outcome is the strongest available evidence that “mandatory” in this book's framework describes a regime that has been tested against its most resourced potential opponent and held. Chapter 13 develops the enforcement mechanics and this case in more detail.

These are not the only critiques of Vermont's approach. They are the most serious ones, and this book engages them throughout rather than assuming the policy case is settled. It is not settled. Vermont is the experiment. This book is the analytical framework for watching it clearly.

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## **The Five-Pillar Framework and the Equity Imperative: Why They Must Move Together**

The central analytical contribution of this book is the five-pillar framework for healthcare transformation: Policy, Technology, Economics, Clinical, and Operations. It is not a checklist of things that should be done, but an

integrated architecture for understanding why transformation attempts fail when they address any pillar in isolation. Remove any one pillar and the transformation fails: payment reform without the data infrastructure to manage it, or the clinical models to respond to it, produces financial pressure without improvement.

Each pillar is defined by a single diagnostic question. Policy asks whether a reform is permissible. Technology asks whether it is possible. Economics asks whether it is sustainable. Clinical asks whether it is effective. Operations asks whether it is executable. An honest “no” to any one of them predicts underperformance regardless of how confidently the other four answer yes.

There is a sixth question, and it is deliberately not a sixth pillar: **is it just?** This is the Equity Imperative — a cross-cutting test that each of the five pillars must pass on its own terms, rather than a separate workstream competing with them for budget, staff, and attention. The distinction is structural, not rhetorical. A sixth pillar has its own line item and its own position in the queue, which means it can be sequenced last, funded least, and reported separately from the work that determines whether disparities actually close. An imperative has none of those escape hatches: there is no standalone equity project to defer, because each pillar’s own deliverable carries an equity condition it must satisfy. Does the mandate close disparities or widen them (Policy)? Does the data make disparities visible, or bury them in averages (Technology)? Do the incentives reward serving the hardest-to-reach populations, or penalize it (Economics)? Effective — but effective for whom (Clinical)? Executable everywhere, including in rural and under-resourced settings (Operations)?

The reason this matters is that a reform can improve the average while widening the gap, and pass every test but this one. Vermont’s primary care access rate is roughly 91% — four points above the national benchmark and a genuine achievement. That same number conceals an 11-point gap between white Vermont adults and BIPOC Vermont adults. Nothing in the aggregate figure reveals the gap; it becomes visible only when the underlying data is stratified by race and ethnicity, which is a Technology-pillar capability rather than a statement of good intentions. A framework that treated equity as a separate pillar would have been satisfied by the 91%. Treating it as an imperative is what forces the second question.

Chapter 1 develops all of this in full — defining each pillar, mapping the nine dependency relationships that connect them, applying the justice test to each pillar in turn, and showing what cascades through the system when any one is missing. Chapter 10 takes up the Equity Imperative on its own terms. What matters here, at the outset, is the single premise the rest of the book rests on: Vermont’s reform agenda is instructive precisely because it addresses all five pillars simultaneously, and is held to the same imperative throughout — imperfectly and incompletely, as any real-world policy effort does, but with a comprehensiveness that distinguishes it from the single-pillar interventions that have failed repeatedly at the national level.

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## The HTR Ecosystem: How the Book, the Platform, and the Academy Work Together

This book is one of three integrated components of the **Health Transformation Review** ecosystem. The framework covered in this book is not only an argument to be followed — it is a system to be operated, and the platform ([healthtransformationreview.org](https://healthtransformationreview.org)) and Academy ([healthtransformationreview.org/academy](https://healthtransformationreview.org/academy)) are where you operate it. Understanding how the three fit together will change how you read what follows.

| Component       | What it is                                                                                                                                                                               | How it connects to the book                                                      |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| <b>The Book</b> | <i>Transforming Healthcare</i> — the framework, the dependency logic, the Vermont evidence, and the national comparisons. Read it online with audio narration at <a href="#">/book</a> . | The intellectual foundation. Everything else is an interactive expression of it. |

| Component           | What it is                                                                                                                                                                                                         | How it connects to the book                                                                                                                                     |
|---------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>The Platform</b> | Five pillar hubs, a Research Lab of nearly forty interactive analytical tools, an AI Analyst grounded in this book and Vermont’s source documents, a fifty-state dashboard, and a daily intelligence feed.         | Every argument here that can be modeled <i>is</i> modeled there. Each chapter ends with an “ <i>Explore on the Platform</i> ” guide linking to the exact tools. |
| <b>The Academy</b>  | A structured executive-education layer of courses, tracks, and lessons. <b>Five Pillars, One Imperative</b> is this book’s companion course — eight tracks that follow the book’s own sequence. Start at /academy. | Each chapter ends with a “ <i>Go Deeper — Academy</i> ” guide naming the specific lessons that teach it hands-on.                                               |

The connection runs in every direction. The book sends you to the platform through the chapter-ending tool guides. The platform sends you back to the book through “*From the Book*” callouts on every hub and tool. The Academy sends you to both. And the AI Analyst sits across all three — ask it a question and it answers from the book’s evidence base *and* routes you to the tool, dashboard, or lesson that lets you go further. The practical consequence for you as a reader: whenever this book makes a claim you want to test against your own organization or state, there is almost always a tool waiting to let you do exactly that. Every chapter closes with the same two doorways — **EXPLORE ON THE PLATFORM**, then **GO DEEPER — ACADEMY** — and shorter **TRY THIS** prompts appear mid-chapter wherever an argument is easier to feel in a tool than to follow on the page.

## START HERE

New to the ecosystem? Open [healthtransformationreview.org/academy/getting-started](https://healthtransformationreview.org/academy/getting-started), declare your role, and the platform personalizes what it surfaces first. Prefer to explore on your own? The Research Lab is organized into benches grouped by pillar — and the AI Analyst can orient you to any of them.

## How to Use This Book

This book has four primary reader profiles. Each has a different relationship to the material and a different way of getting maximum value from it — in the book, on the platform, and in the Academy.

### The Healthcare Policy Professional

You work in a government agency, a legislative office, a think tank, or a foundation focused on healthcare policy.

**Recommended path.** Read the Introduction and Chapter 1 (the five-pillar framework and the execution sequence) in full. For the pillar you care most about, read the corresponding chapter in depth. Read Chapter 16 (the AHS Restructuring Roadmap) carefully — it is the most direct bridge between policy mandate and organizational design. Read Chapter 13 (The Future of Healthcare Transformation) for the national context.

**On the platform.** Start with the HTR Simulator to model a state’s readiness and the fifty-state dashboard to benchmark it, then work the Policy & Quality Sciences bench in the Research Lab.

**In the Academy.** Begin with **Five Pillars, One Imperative**, Track 2 (“Policy — Establish the Mandate”), which works the Act 167 → 51 → 68 cascade and the voluntary-versus-mandatory distinction directly. Then the payment-reform courses at /academy/courses.

## The Healthcare Executive or Administrator

You lead a hospital, health system, health plan, ACO, or healthcare services organization. You are making decisions — about contracts, capital investments, workforce, technology — that the transformation environment is complicating.

**Recommended path.** Read the Introduction for the overarching argument, then go directly to the chapters most relevant to your immediate decisions. Chapters 6-7 (Economics) for VBC contracts. Chapters 8-9 (Clinical) for care management programs. Chapters 4-5 (Technology) for infrastructure investment. Chapter 11 (Operations) for hospital transformation planning. Return to Chapter 1 for the integrating logic.

**On the platform.** Run your own organization through the Payment Models & VBC bench — the VBC Readiness Assessment and APM tools — and pressure-test your finances with the Research Lab.

**In the Academy.** Take **Five Pillars, One Imperative** Track 4 (“Economics — Put Incentives on a Visible System”) for the framework, then the Value-Based Care course at /academy before your next contract cycle.

## The Vermont Practitioner

You work for AHS, GMCB, DVHA, the Vermont legislature, a Vermont hospital, a Blueprint practice, or a Vermont community organization.

**Recommended path.** Read Appendix A (Vermont System Portrait) first, then Chapter 1 (the five-pillar framework and execution sequence) and Chapter 2 (the Policy Pillar — Acts 167 and 68). Then Chapter 16 (the AHS Restructuring Roadmap) as the operational framework for your work. Use the implementation timeline tables throughout as a working reference guide.

**On the platform.** The Vermont concept pages — Act 167, Act 68, the AHEAD Model — and the Vermont hospital dashboard turn the book’s Vermont evidence into live, current data. Ask the AI Analyst about any Vermont statute or program.

**In the Academy.** **Five Pillars, One Imperative** Track 2 (“Policy”) covers the statutes you work under daily; Track 6 (“Operations — Close the Execution Gap”) covers regionalization and the workforce constraint. The Vermont-specific Medicaid Learning Center is at /academy.

## The Healthcare Student or Researcher

You are building foundational knowledge in a graduate program or as an independent researcher.

**Recommended path.** Read the entire book in order. Chapter 1 establishes the framework and execution sequence; Chapters 2-11 develop each pillar; Chapters 12-16 provide future context and the AHS restructuring roadmap. The Key Concepts sections at the end of each chapter are the glossary. The source notes are the bibliography. Use Vermont as the case study while building transferable analytical skills.

**On the platform.** The Academy gives you a structured curriculum with progress tracking, and the entire Research Lab is a sandbox for reproducing the book’s analyses yourself. Start at /academy/getting-started.

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## What This Book Cannot Do

This book cannot predict whether Vermont’s transformation will succeed. The outcome depends on thousands of decisions that will be made by hospital executives, primary care physicians, community health workers, legislators, regulators, and patients over the next five to ten years. This book provides the analytical framework for those decisions; it cannot make them.

This book cannot substitute for the operational expertise required to execute transformation. The frameworks here are accurate and the evidence base is solid, but implementing a global budget requires actuarial expertise, regulatory knowledge, and operational experience that a book cannot provide.

This book cannot resolve the political contests that surround healthcare transformation. Reference-based pricing is opposed by hospital systems that benefit from high prices. Global budgets are feared by hospitals that worry about access restrictions. These are legitimate conflicts of interest that will be resolved by political processes — legislative deliberation, regulatory proceedings, stakeholder negotiations — that this book can inform but cannot replace.

What this book can do: provide the analytical architecture for understanding what is happening and why; supply the evidence base for evaluating what is working and what is not; develop the conceptual vocabulary for communicating across the disciplines — clinical, financial, policy, technological, operational — that transformation requires; and give Vermont practitioners the framework to see their specific work in the context of a coherent transformation agenda. That is enough to have been worth writing — and, I hope, worth your time reading.

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*Sources: Oliver Wyman Healthcare and Life Sciences Group, Act 167 Community Engagement: Recommendations (August 2024, revised October 2024 and January 2025); Vermont Agency of Human Services, Vermont Rural Health Transformation Program Application (November 2025); GMCB VHCURES Data and Analytics documentation; KFF State Health Facts (Vermont); Vermont Department of Health; Act 68 of 2025; Act 167 of 2022; AHEAD State Agreement (January 2025).*

# Chapter 1: The Five-Pillar Framework and the Execution Sequence

*Healthcare transformation is a system problem: five pillars — Policy, Technology, Economics, Clinical, and Operations — connected by nine dependency relationships that determine whether reform succeeds or fails. This chapter opens with the failure that proves the point — OneCare Vermont’s collapse — then defines the five pillars, maps their interdependencies, shows what cascades when any one is missing, and turns to the question those dependencies force: in what order must the pillars be built? Vermont provides both the proof of concept and the canonical failure case — OneCare Vermont’s collapse is the most instructive sequencing autopsy in recent American health policy.*

## 1.1 The Problem with Single-Pillar Thinking

In 2010, the Affordable Care Act created the Center for Medicare and Medicaid Innovation with a mandate to test new payment and delivery models and scale what worked. Over the following fifteen years, CMMI launched more than seventy models, investing billions of dollars and attracting the attention of thousands of healthcare organizations. A 2023 Congressional Budget Office analysis found that the vast majority had not achieved statistically significant reductions in spending or improvements in quality — and that CMMI’s models, taken together, had not saved money at all: they cost \$7.9 billion to operate, reduced spending on health care benefits by \$2.6 billion, and increased net federal spending by \$5.4 billion between 2011 and 2020. Most were discontinued. A handful showed promise and were expanded.

|                                         |                                |                              |                                    |
|-----------------------------------------|--------------------------------|------------------------------|------------------------------------|
| 70<br>CMMI Models Tested<br>(2011–2024) | 4 of 70<br>Expanded Nationwide | 15 Yrs<br>Span of Experience | Problem:<br>Single-Pillar Thinking |
|-----------------------------------------|--------------------------------|------------------------------|------------------------------------|

The pattern of failure across CMMI models is instructive. Models that addressed only the Economics pillar — changing what Medicare paid without addressing how care was delivered or whether providers had the infrastructure to respond — generated financial pressure without behavioral change. Models that addressed only the Clinical pillar — redesigning care coordination or care management programs — produced clinical improvements that the payment system then penalized by reducing volume-based revenue. Models that required Technology pillar investment — electronic health records, population health platforms, data exchange — found that providers lacked the operational capacity to use the tools effectively.

The lesson is not that payment reform, clinical redesign, or technology investment is wrong. It is that each intervention, pursued in isolation, runs into the constraints created by the pillars it ignores. This is the core analytical argument of the five-pillar framework.

**Healthcare transformation is a system problem, and system problems require system solutions.**

Every major healthcare transformation framework in the past thirty years has identified the same list of necessary conditions. Pay differently. Redesign care delivery. Build data infrastructure. Address social determinants. Ensure equity. Execute operationally. The list is right. The reasoning behind it is right. And yet the transformation that the list is supposed to produce has not arrived — not in most states, not at national scale, not with the speed and completeness the evidence has long indicated is possible.

The problem is not the list. The problem is treating it as a list.

A checklist is a set of independent items. You can check them in any order. Checking one does not affect the others. Failing to check one does not prevent you from checking the rest. A checklist of healthcare transformation requirements implies that you can make progress on any one of these independently, and that partial completion is partial progress. This is wrong. The five pillars are not independent items on a checklist. They are a system of interdependent components in which each pillar's effectiveness depends on the others, in which the failure of any single pillar cascades through the system, and in which the order and timing of interventions matters as much as the content of those interventions. Treating the five pillars as a checklist is precisely how decades of technically correct healthcare reform recommendations have produced inadequate results.

**A policy intervention that passes question one but fails questions three, four, or five is not a solution — it is a well-intentioned mistake waiting to be made.**

## 1.2 The OneCare Failure: A Sequencing Autopsy

The clearest evidence for that argument is a failure that has already happened. Before defining the five pillars, it is worth examining OneCare Vermont's collapse in structural terms, because the failure was not random and it was not primarily the result of bad intentions or poor execution. OneCare failed because of sequencing errors baked into its design from the beginning. Identifying those errors precisely is more useful than simply noting that the ACO wound down after roughly twelve years, founded in 2013 and closing at the end of 2025; the federal All-Payer ACO Model agreement that defined its most consequential years ran about eight of those years before its own scheduled sunset.

OneCare was Vermont's primary Accountable Care Organization vehicle under a Total Cost of Care model — holding OneCare financially responsible for the total healthcare spending of an attributed Vermont population. On paper, sound design. In practice, three sequencing failures that compounded until the organization could not recover.

### 1.2.1 Sequencing Failure 1: Economics Without Policy Foundation

The most fundamental problem: Vermont attempted to operate a sophisticated payment reform model — one requiring system-wide accountability — without a policy foundation that could compel every payer's participation. Provider participation in OneCare was voluntary, and at its broadest it reached all fourteen Vermont hospitals and thousands of providers — the gap that actually undid the model was on the payer side, not a hospital walking away.

That gap has a specific origin. In 2016 the U.S. Supreme Court decided *Gobeille v. Liberty Mutual Insurance Co.*, 6–2, holding that ERISA preempts a state law requiring health plans — including self-insured employer plans — to report claims data into a state's all-payer claims database. Vermont could not, after that ruling, legally compel every private payer into its data and payment infrastructure. That structural limit became concrete on January 1, 2023, when Blue Cross Blue Shield of Vermont — the state's largest insurer — declined to renew its OneCare contract, removing roughly 93,000 enrollees, about a third of OneCare's total enrollment, in a single step. Blue Cross cited inadequate contractual protection for its members' claims data under OneCare's plan to subcontract analytics to UVM Health Network (a competitor), and no evidence among its own members of progress on health outcomes or cost of care. This — a federal ruling constraining the mandate's reach, then the state's largest payer exercising exactly the option that ruling protected — is the documented mechanism, not a hospital protecting admission revenue.

## WORKED EXAMPLE — ONE DECISION THROUGH THE MODEL

*Vermont’s move to mandatory hospital global budgets (Act 68, FY2028), run through the five gates and the Equity Imperative.*

|                   |                                                                                                                                                |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Policy</b>     | <b>Yes — Act 68 makes global budgets binding on every hospital, ending the opt-out that sank the voluntary OneCare model.</b>                  |
| <b>Technology</b> | Only if VHCURES and AHS–GMCB analytics can set and monitor each hospital’s budget; without the data, the budget is a number no one can manage. |
| <b>Economics</b>  | The budget flips the incentive — every avoided admission now improves margin instead of cutting revenue.                                       |
| <b>Clinical</b>   | Realized only when Blueprint care teams actually prevent the admissions the budget rewards.                                                    |
| <b>Operations</b> | Requires project-management capacity at all 14 hospitals to run the budgets, not just design them.                                             |

Act 68’s mandatory architecture is the direct statutory response to this failure. Reference-based pricing and global budgets are not optional. Every Vermont hospital is in.

### 1.2.2 Sequencing Failure 2: Economics Without Technology — The “Managing Blind” Failure Mode

OneCare attempted to manage a complex, population-level payment model involving real financial risk without the technology infrastructure required to do so. Specifically: no integrated system combining timely clinical data with claims data at meaningful scale.

Claims data is the financial record of healthcare — every bill submitted to an insurer. It tells you what was done, when, and at what cost. Clinical data is the medical record — diagnoses, lab results, medications, care plans. It tells you why something was done and what the patient’s health status actually is. Neither dataset alone is sufficient for managing value-based payment. You need both, integrated, in near-real time.

OneCare operated without this at the maturity real-time risk management requires. The evidence is documented from two directions rather than a single internal metric: OneCare’s own staff told Green Mountain Care Board regulators, in a budget presentation, that its data analytics system was not as effective as newer software UVM Health Network was in the process of adopting — an admission of the gap from inside the organization. Separately, the state auditor’s office found that Vermonters attributed to OneCare visited the emergency department at a rate roughly 36% higher than peer ACOs nationally and had about 18% fewer primary care visits — the utilization signature of a population being managed reactively rather than proactively. (A precise day-count for OneCare’s own internal claims lag is not independently documented in the public record; OneCare’s annual filings, cited in this chapter’s sources, are the place to confirm one if it exists.) This is the “Managing Blind” failure mode: assuming downside financial risk under a Total Cost of Care model without the analytics to manage that risk in real time. The result is unexpected, unexplainable financial losses — not because the model is wrong, but because the organization cannot see what it is supposed to be managing.

#### WORKED EXAMPLE — Why timeliness is as critical as integration

Consider, hypothetically, a care manager responsible for 500 high-risk patients under a Total Cost of Care model who needs to identify patients who are deteriorating before they are hospitalized. If her data arrives two months after the fact, she learns in March that a patient was hospitalized in January. The intervention opportunity is gone. If her data arrives within 24 to 48 hours — integrated clinical and claims feeds updated daily — she can see that a patient filled a new prescription last week, had an abnormal lab result three days ago, and has not seen

their primary care provider in six months. She can call today, before the hospitalization. OneCare’s documented utilization pattern — elevated ED use, reduced primary care contact — is consistent with exactly this failure mode, whatever its precise internal lag turned out to be.

Vermont’s health-data technology infrastructure addresses this directly: VHCURES provides longitudinal population data; VITL/VHIE provides clinical data exchange; and the AHS-GMCB analytics capability provides the modeling layer for global budget management and equity monitoring. This is the substrate OneCare never built.

### 1.2.3 Sequencing Failure 3: The Cascade

The two failures above did not operate independently. They compounded. Because a 2016 federal ruling limited how far Vermont’s mandate could reach into self-insured payers, the state’s largest insurer could — and in 2023, did — walk away, removing about a third of the population OneCare needed in order to manage total cost of care. Because it could not manage the total cost of care for a stable population, it could not demonstrate savings cleanly. Because its own analytics lagged what its regulators expected, it could not show the underlying utilization improving either. Because neither savings nor utilization improvement was clearly demonstrated, remaining participants and regulators had less reason to invest further in the model. Which returned the cascade to its starting point.

| Sequencing Gap       | Structural Error                                                                             | Direct Consequence                                                                                                  | Cascade Effect                                                                                                             |
|----------------------|----------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| Policy (Stage 1)     | <i>Gobeille v. Liberty Mutual</i> (2016) limited the mandate’s reach into self-insured plans | Blue Cross Blue Shield of Vermont exits (Jan. 2023) — about 93,000 enrollees, a third of the total, removed at once | Total cost of care cannot be managed for a stable population → savings targets contested                                   |
| Technology (Stage 2) | OneCare’s own staff told GMCB its analytics lagged newer available systems                   | “Managing Blind” — auditor-documented 36% higher ED visits, 18% fewer primary care visits than peer ACOs            | Proactive intervention impossible → high-cost events not prevented → financial exposure accelerates                        |
| Economics (Stage 3)  | Real total-cost risk assumed on top of both gaps above                                       | Independent analyses reach conflicting conclusions on net savings vs. net cost                                      | Contested results → harder to justify further investment in the missing capability                                         |
| System-level         | Three gaps compounding over the federal agreement’s ~8-year run                              | Organizational wind-down at the close of 2025                                                                       | Failure was structural — no single management decision could reverse a federal court ruling or rebuild analytics overnight |

Figure 1.1 — The OneCare Failure Cascade. Source: HTR Analysis (2026). Based on GMCB records, AHS November 2025 Transformation Report, OneCare Vermont public filings, *Gobeille v. Liberty Mutual Ins. Co.*, 577 U.S. 312 (2016), and VTDigger reporting (Dec. 20, 2022; Mar. 13, 2026).

## BEYOND VERMONT

The three sequencing failures above — economics without a policy foundation, payment reform without data infrastructure, and clinical redesign without measurement — are not OneCare-specific defects. They are the

three failure modes any value-based care vehicle exhibits when its launch order is wrong, whether that vehicle is a Medicaid ACO in a large fragmented state, a commercial risk contract for an independent physician group, or a CMMI model anywhere in the country. The autopsy is transferable even where the entity, the state, and the payer mix are not.

## 1.3 The Five Pillars and the Equity Imperative

Transformation has five moving parts you build and run — and one test they all must pass. The five pillars are capability domains: Policy, Technology, Economics, Clinical, and Operations. Each is a subsystem you can staff, fund, and hold accountable, and each answers a different question about whether transformation will actually work. They are not a row of equals standing side by side. They are load-bearing in sequence: the later pillars rest on the ones built before them, which is why this book treats order as architecture rather than preference.

Equity is different in kind. It is not one more thing you build alongside the five — it is the Equity Imperative every one of them must satisfy. A reform can be permissible, possible, sustainable, effective, and executable and still fail the only test that finally matters: is it just? So equity is not the last pillar in the line; it is the plumb line held against every pillar, at every stage. Five pillars, one imperative.

### THE MODEL AT A GLANCE

*Five pillars — the capabilities you build, in load-bearing order — held to one imperative.*

|                   |                                                                            |
|-------------------|----------------------------------------------------------------------------|
| <b>Policy</b>     | <b>Is it permissible? — the mandate that makes reform non-optional.</b>    |
| <b>Technology</b> | Is it possible? — the data substrate that makes management possible.       |
| <b>Economics</b>  | Is it sustainable? — the incentive that makes the right behavior rational. |
| <b>Clinical</b>   | Is it effective? — the care redesign that turns incentive into outcomes.   |
| <b>Operations</b> | Is it executable? — the capacity that turns design into sustained reality. |

**Policy** — The legislative and regulatory environment that creates the mandatory architecture for transformation. Policy establishes what actors must do, what they are prohibited from doing, and what governance structures ensure accountability. Voluntary reform operates within the Policy pillar’s constraints; structural transformation requires it to change.

*Vermont application: Acts 167 and 68, the AHEAD Model State Agreement, and the Statewide Strategic Plan mandate are Vermont’s Policy pillar interventions. Each converts voluntary reform into statutory obligation.*

**Technology** — The data infrastructure, health information exchange, analytical platforms, and clinical technologies that make population health management possible at scale. The Technology pillar is the information substrate on which most other pillar functions depend — you cannot manage what you cannot measure.

*Vermont application: VHCURES (all-payer claims database), VTTL/VHIE (health information exchange), the AHS-GMCB data integration and analytics capability, AI scribe grants, and Vermont’s Clinically Integrated Network are Technology pillar investments.*

**Economics** — The payment and financial architecture that determines what behaviors the system rewards. The Economics pillar encompasses payment reform (from fee-for-service to value-based and global payment), financial modeling, total cost of care management, and the hospital financial sustainability that transformation requires.

*Vermont application: Reference-based pricing (FY2027), global hospital budgets (FY2028–2030), and total-cost-of-care accountability are Vermont’s Economics pillar interventions.*

**Clinical** — The care delivery models, quality measurement frameworks, clinical workforce design, and patient care programs that determine how care is actually delivered. The Clinical pillar is where payment reform becomes patient outcomes — or fails to.

*Vermont application: The Blueprint for Health (all-payer PCMH program), Collaborative Care Model behavioral health integration, CCBHC expansion, and the primary care investment strategy are Vermont’s Clinical pillar interventions.*

**Operations** — The organizational capacity, management infrastructure, administrative simplification, and implementation discipline that converts strategy into executed programs. The Operations pillar is where transformation plans become real or remain documents — the graveyard of well-designed reforms that could not be implemented.

*Vermont application: The 14-hospital transformation planning process, RHRC technical assistance, the AHS HSA Coordinator model, the Division of Planning and Effectiveness, and EMS regionalization are Vermont’s Operations pillar investments.*

**Equity — the imperative, not a pillar.** The programs, investments, and accountability structures that ensure transformation benefits reach all populations — and especially those most harmed by the current system’s failures. Equity is not a soft afterthought, and it is not one more capability competing with the five for time and budget. It is the test each of the five must pass. A transformation that reduces average costs while widening disparities has failed the Equity Imperative — however permissible, possible, sustainable, effective, and executable it may be.

*Vermont application: geographic equity across Vermont’s 14 Health Service Areas, SDOH investment through Blueprint HRSN screening, rural-access preservation written into the reference-based-pricing and global-budget design, and the health-equity metrics mandated in Acts 167 and 68 are where Vermont holds each pillar to the Equity Imperative.*

## THE EQUITY IMPERATIVE — APPLIED AT EVERY STAGE

*Equity is not a separate stage — it is the gate at every stage. Ask each pillar’s own question, then ask equity’s:*

| Policy     | Permissible — and does the mandate close disparities or widen them?                      |
|------------|------------------------------------------------------------------------------------------|
| Technology | Possible — and does the data make disparities visible, or bury them in averages?         |
| Economics  | Sustainable — and do the incentives reward serving the hardest-to-reach, or penalize it? |
| Clinical   | Effective — and effective for whom?                                                      |
| Operations | Executable — and executable everywhere, including the rural and under-resourced?         |

## ON THE HTR PLATFORM & ACADEMY

*The book, the platform, and the Academy reinforce each other — here is where this chapter connects.*

|                   |                                                                                                                                                                                                                                                                |
|-------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Diagnostic</b> | <b>Interactive five-pillar diagnostic — score any initiative against the five questions and the Equity Imperative, and see where it breaks (<a href="http://healthtransformationreview.org/research-lab">healthtransformationreview.org/research-lab</a>).</b> |
| <b>Academy</b>    | Module 1, “Five Pillars, One Imperative,” walks each gate with the Vermont cases in this chapter, including the global-budget example above.                                                                                                                   |
| <b>Self-check</b> | The Pillar Readiness self-check returns your weakest load-bearing pillar — the one most likely to stall your sequence.                                                                                                                                         |

The table below specifies each pillar’s diagnostic function and structural role — what it produces when it is working. Equity is not a row here; it is the Equity Imperative applied to every row (see the box above).

| <b>Pillar</b>     | <b>Diagnostic question</b> | <b>Structural role in the system</b>                                                                                                                                                                                                                                                    | <b>What it produces when functioning</b>                                                                                                                                                                                                      |
|-------------------|----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Policy</b>     | Is it permissible?         | The mandatory architecture. Converts aspirational reform into binding requirements. Without mandatory authority, the highest-cost actors opt out and voluntary reform achieves marginal results.                                                                                        | Statutory mandates that eliminate voluntary opt-out; accountability timelines that cannot be deferred; federal-state agreements that commit both parties to specific outcomes.                                                                |
| <b>Technology</b> | Is it possible?            | The data substrate. Makes population health management, VBC contract execution, equity measurement, and strategic planning analytically feasible. Without data infrastructure, the other pillars are managed blindly.                                                                   | Attribution lists, TCOC measurement, HEDIS stratification, risk stratification, care-gap identification, AI-assisted clinical workflows — the analytical functions that VBC and population health management require.                         |
| <b>Economics</b>  | Is it sustainable?         | The incentive architecture. Determines whether organizations have a financial reason to behave differently. Payment reform does not change clinical behavior directly — it changes the financial logic that shapes clinical decisions over time.                                        | Payment models in which population health management is financially rational; price structures that break the commercial cross-subsidy chain; accountability for total cost of care rather than encounter volume.                             |
| <b>Clinical</b>   | Is it effective?           | The mechanism of change. Payment reform changes incentives; clinical redesign changes behavior. The financial case for preventive investment only materializes when clinical programs actually deliver the utilization reduction that produces cost savings and better health outcomes. | Primary care transformation that prevents hospitalizations; behavioral health integration that reduces crisis presentations; care management that closes gaps before they become acute episodes.                                              |
| <b>Operations</b> | Is it executable?          | The execution layer. Translates statutory mandates, payment models, data platforms, and clinical programs into organizational reality. The most analytically sound framework fails if the implementing organization lacks capacity, infrastructure, and management discipline.          | Hospital transformation plans that are implemented, not filed; AHS organizational capacity sufficient to manage 14 simultaneous transformation processes; project-management infrastructure that tracks progress against statutory deadlines. |

Figure 1.2 — The five pillars: diagnostic questions and structural roles. Sources: Acts 167 (2022) and 68 (2025).

## 1.4 The Architecture of Interdependency: The Dependency Matrix

The five pillars do not operate independently. They interact through a set of directed dependencies — some that set the build order, a few that run back as feedback once the system is live. Understanding these interactions is the core analytical skill this book develops.

Figure 1.3 renders them as a single matrix: read each cell as “row-pillar → column-pillar.” The verb names the kind of dependency — ENABLES (makes possible), REQUIRES (cannot function without), DRIVES (actively forces change in) — and ∪ marks a feedback loop that runs after the build. Equity is not a row in the grid; it is the Equity Imperative applied to every cell (is it just?). The sections that follow take the dependencies one source pillar at a time — the mechanism, the failure mode when it is ignored, and the Vermont evidence that confirms it. (The same map is on the Health Transformation Review platform: [healthtransformationreview.org/research-lab](https://healthtransformationreview.org/research-lab).)

*Read each cell as “row-pillar → column-pillar.” Each relationship appears once; ∪ marks a feedback loop. Equity is not a row — it is the Equity Imperative applied to every cell (is it just?).*

| FROM ↓ / TO → | Policy                              | Technology                                 | Economics                                | Clinical                                 | Operations                                 |
|---------------|-------------------------------------|--------------------------------------------|------------------------------------------|------------------------------------------|--------------------------------------------|
| Policy        | —                                   | ENABLES: funds & authorizes the data build | ENABLES: makes payment reform binding    |                                          | DRIVES: statutory deadlines force capacity |
| Technology    |                                     | —                                          | ENABLES: analytics run the payment model | ENABLES: data enables population health  |                                            |
| Economics     |                                     |                                            | —                                        | DRIVES: incentives reshape care delivery |                                            |
| Clinical      |                                     |                                            |                                          | —                                        | REQUIRES: care models need execution infra |
| Operations    | INFORMS ∪: data refines the mandate | RUNS ∪: workforce runs the infrastructure  |                                          |                                          | —                                          |

Figure 1.3 — The Dependency Matrix. Read each cell as row-pillar → column-pillar. Sources: Acts 167 (2022) and 68 (2025).

*ENABLES = precondition (cannot start without it) · DRIVES = actively forces behavior change · REQUIRES = cannot function without · ∪ = feedback loop (runs after the build). Where two pillars affect each other, the two arrows carry different content — a genuine loop, not the same fact counted twice.*

### 1.4.1 Policy Dependencies: Three Relationships That Establish the Mandatory Architecture

Policy is the pillar from which mandatory authority flows. Its outbound dependencies — to Economics and Operations — are among the most critical in the framework, because they are the relationships that convert every other pillar from optional to required.

**Policy → Economics: Mandatory authority enables structural payment reform · *ENABLES (critical path)***

The most important dependency in the entire framework. Payment reform that is voluntary produces voluntary results. Vermont spent a decade under OneCare Vermont — a voluntary ACO model — and produced modest results among participating hospitals while non-participating hospitals continued operating under fee-for-service without consequence. Act 68 of 2025 changed the architecture: reference-based pricing is mandatory for all Vermont hospitals beginning FY2027, and global budgets are mandatory beginning FY2028. This is not an incremental improvement on the voluntary model. It is a structural change that eliminates the opt-out that made the voluntary model ineffective.

#### VERMONT EVIDENCE

Oliver Wyman's Act 167 diagnosis explicitly found that voluntary reform was insufficient given the financial trajectory. The \$700 million to \$2.4 billion five-year deficit projection assumes the continuation of the commercial pricing structure that mandatory RBP is designed to dismantle. Without the Policy pillar's mandatory authority, the Economics pillar remains aspirational.

#### BEYOND VERMONT

Maryland has been running the experiment Vermont is starting. Its all-payer model put essentially every hospital in the state — 52 of them — under global budgets beginning in 2014, mandatorily, with no opt-out. A decade of evaluation is the closest thing American health policy has to a controlled test of this dependency.

The results support the mechanism and complicate the optimism. Medicare spending fell 2.8% against a comparison group, driven by a 4.1% reduction in hospital expenditures — more than \$780 million saved. Potentially preventable admissions fell 16.1%, unplanned readmissions 9.5%. But the quality picture was mixed: readmissions improved for healthier patients while hospitals struggled with sicker ones, and population health measures did not move.

The lesson that transfers is narrower than “global budgets work.” It is that mandatory architecture reliably changes hospital financial behavior — which is what this dependency claims — and that changing financial behavior is not the same as improving population health. That second step requires the Clinical pillar, and Maryland's experience is the evidence that it does not arrive on its own.

**Policy → Operations: Statutory deadlines force execution capacity · *REQUIRES (critical path)***

One of the most underappreciated dependencies in healthcare transformation. Organizations develop the capacity to execute complex initiatives when they have non-negotiable deadlines, not when they have good intentions. Act 68's December 2028 Statewide Strategic Plan deadline, the FY2027 RBP mandate, and the FY2028 global budget mandate are not just policy milestones — they are organizational forcing functions that require AHS to build the project-management infrastructure, analytics capability, and staffing depth that the transformation requires. Without the Policy pillar imposing external accountability, the Operations pillar faces the chronic problem of healthcare administration: transformation planning that is perpetually in progress but never complete. Vermont's statutory deadlines are the mechanism that prevents this. They are deliberately irreversible.

**Policy and the Equity Imperative: statutory mandates embed equity accountability**

Acts 167 and 68 both contain explicit equity requirements — they are not aspirational statements about desired outcomes but operational mandates: equity metrics must be tracked, disparities must be reported, and the Statewide Strategic Plan must address geographic and demographic equity gaps. This is the Policy pillar enabling the equity imperative's accountability function. Without statutory embedding, equity monitoring is a discretionary activity that competes with operational priorities. With it, equity measurement is a compliance requirement.

### VERMONT EVIDENCE

The Health Care Delivery Advisory Committee established under Act 68 is required to consult with the Health Equity Advisory Commission and to incorporate equity considerations into the Statewide Strategic Plan. This institutional design is the Policy pillar building the equity imperative's accountability structure into the statutory framework.

## 1.4.2 Technology Dependencies: Three Relationships That Enable Analytical Management

Technology is the data substrate on which every other pillar's management functions depend. It has the broadest set of outbound dependencies in the framework — enabling relationships to Economics and Clinical, and to the equity imperative that describe what becomes possible when data infrastructure is adequate, and what remains impossible when it is not.

**Technology → Economics: Analytics makes VBC financial management possible · *ENABLES***

This is the paired reading described above: Technology *enables* Economics, which is the same relationship Economics experiences as *requiring* data infrastructure. The distinction it draws is between existence and effectiveness. An organization can enter an APM contract without adequate analytics — the contract still exists, the financial obligations are still real. But the organization cannot manage its financial performance under that contract, cannot identify where its costs are above benchmark, cannot target care management investment toward the highest-return opportunities, and cannot dispute errors in the payer's shared savings calculations without the required data infrastructure and implemented technology.

### VERMONT EVIDENCE

VHCURES population health analytics make the APM financial modeling described in Chapter 7 possible. The APM Shared Savings Calculator, the Hospital Financial Stress Test, and the VBC Readiness Assessment — all tools in the HTR Research Lab — are built on VHCURES data logic. Vermont hospitals that invest in VHCURES analytics capability before Act 68's hospital global budgets take effect will be able to manage those budgets proactively rather than reactively.

### BEYOND VERMONT

This dependency is where most states are structurally disqualified before they begin. According to the APCD Council, roughly 24 states operate an established all-payer claims database; the other half of the country does not have one. Vermont's VHCURES is not an unusual advantage in kind — it is an unusual advantage in *timing*, built years before the payment model that now needs it.

For a state without an APCD, the sequencing consequence is concrete: total-cost-of-care accountability cannot be measured, so a global budget cannot be set defensibly, so the Economics pillar cannot be operated even where the political will exists to mandate it. The gap is not a year of procurement. Standing up an APCD is multi-year work involving legislation, payer reporting mandates, and data-governance infrastructure.

Read against the Policy → Economics box above, this is the practical test for any state reading Vermont's playbook: mandatory authority is necessary but it is not sufficient, and the Technology gate is the one that cannot be opened by a vote.

### **Technology and the Equity Imperative: disaggregated data reveals disparities hidden in averages (critical)**

The equity imperative depends on the Technology pillar's ability to produce demographic stratification. You cannot measure a disparity you cannot see. Vermont's 91% primary care access rate — four points above the national benchmark — is a genuine achievement. It also hides an 11-point gap between white Vermont adults and BIPOC Vermont adults. That gap is invisible in aggregate data. It becomes visible only when VHCURES data is stratified by race/ethnicity, and that stratification is only possible when the data contains adequate demographic information.

#### **VERMONT EVIDENCE**

Vermont's race/ethnicity data in VHCURES is incomplete — commercial claims frequently lack demographic fields. This is not a minor data quality issue; it is a Technology pillar gap that directly limits the equity imperative's analytical capability. The Vermont Department of Health's Health Equity Data Report (January 2025) documents this limitation explicitly. Closing the Technology gap is prerequisite to the equity imperative's disparity measurement function.

### **Technology → Clinical: Data infrastructure enables population health management · *ENABLES***

The clinical programs developed later in this book — Blueprint PCMH, CoCM, CCBHC, CHT deployment — can all be designed and implemented without data infrastructure. What they cannot do without it is function as population health programs rather than individual encounter programs. Risk stratification identifies which patients are most likely to deteriorate; without it, care management deploys reactively, after hospitalization rather than before. Care-gap identification triggers outreach for overdue preventive services; without it, gaps close only when patients happen to schedule appointments. SDOH screening tools flag patients for CHT navigation; without the data platform to connect the flag to the navigation workflow, the flag is generated and ignored.

#### **VERMONT EVIDENCE**

Blueprint's clinical registry is the Technology pillar product that enables Blueprint's Clinical pillar outcomes. The 5.8:1 ROI documented for Blueprint is achievable precisely because Blueprint combines the Clinical pillar's care team model with the Technology pillar's population health analytics. The AI scribe grants in the RHT Program are the Technology pillar's contribution to the Clinical pillar's workforce capacity problem.

### **1.4.3 Economics Dependencies: Three Relationships That Transmit Incentive Change**

Economics is the pillar through which policy mandates are converted into behavioral change at the organizational and clinical level. Payment models do not change behavior directly — they change the financial logic that shapes decision-making. The Economics pillar's outbound dependencies — to Clinical and Technology — describe the mechanisms through which this conversion happens.

### **Economics → Clinical: Payment incentives drive care delivery redesign · *DRIVES (critical path)***

The most important economics dependency. Under fee-for-service, preventing a hospitalization costs the hospital revenue. A primary care practice that successfully manages a diabetic patient's condition and prevents a \$15,000 hospitalization has generated no billable encounter for the prevented admission. The clinical logic and the financial logic point in opposite directions. Under global budgets, the calculus reverses: every avoidable hospitalization is a cost against a fixed revenue envelope, and every prevented admission is a margin improvement. The payment model makes population health management financially rational for the first time.

## VERMONT EVIDENCE

Vermont's Blueprint for Health demonstrates this dependency in reverse. The Blueprint's 5.8:1 return on investment — \$5.8 million in reduced medical expenditure per \$1 million invested in primary care — is achievable because the Blueprint's all-payer PMPM payments to PCMHs create a financial structure that rewards the clinical investment. Sustain the Economics pillar through Act 68's global budgets and the Clinical pillar's population health logic becomes fully incentive-aligned.

### Economics → Technology: VBC contracts require data infrastructure · *REQUIRES*

Value-based care contracts are agreements to share financial accountability for a population's total cost of care. They cannot be executed without the data infrastructure to measure that total cost. Attribution lists, TCOC benchmarks, shared savings calculations, risk adjustment factors, quality measure reporting — all of these require the all-payer claims data, the population health analytics platform, and the FHIR-based data exchange that the Technology pillar provides. An organization that signs an APM contract without adequate data infrastructure is making a financial commitment it cannot monitor, manage, or dispute.

#### WORKED EXAMPLE — Signing a contract you cannot read

A CFO signs a two-sided-risk contract for an attributed population of 12,000 lives, with a total-cost-of-care benchmark set from three years of historical claims. Every clinical decision her system makes over the following year is defensible. The care management team is good. The physicians are engaged.

In month fourteen, the payer's reconciliation arrives: her system is \$2.1 million over benchmark and owes a share of it back.

She cannot tell whether that number is real. To dispute it she would need to know which patients were attributed and when they moved in or out of the panel; what the risk scores were and whether her documentation supported them; which spending happened outside her system, where she had no visibility at all; and whether the benchmark's trend factor matched what actually happened in her market. She has none of it. The payer has all of it.

So she pays. Not because her system performed badly — she still does not know whether it did — but because she entered an argument she had no evidence to make. The clinical work was never the problem. The Technology gate was closed before she signed, and signing did not open it.

## VERMONT EVIDENCE

Act 68 requires GMCB, beginning in FY2028, to set prospective annual hospital global budgets based on historical spending adjusted for population risk. This calculation requires accurate VHCURES data, validated risk adjustment methodology, and an analytics platform capable of producing hospital-specific TCOC projections. The AHS-GMCB data integration and analytics capability being stood up in 2025–2026 is the Technology pillar investment that makes the Economics pillar's global-budget implementation analytically executable.

### Economics and the Equity Imperative: VBC design must include social risk adjustment

Value-based care contracts that do not adjust for social risk systematically penalize providers serving high-SDOH populations. A hospital in Essex County, Vermont — serving a population with higher poverty rates, housing instability, food insecurity, and transportation barriers — faces higher care management costs and lower quality measure performance potential than a hospital in Burlington serving a more economically stable population. If their global budgets are set at the same percentage of Medicare rates without social risk adjustment, Essex County's hospital is being held to a standard that does not reflect its population's actual cost burden.

## VERMONT EVIDENCE

Vermont's hospital global budget design under Act 68 must address this explicitly. The methodology for social risk adjustment in Vermont's hospital global budgets is an active design question as of early 2026. Getting it wrong — designing an Economics pillar instrument that ignores the equity imperative's requirement — would produce a payment system that penalizes the hospitals serving the most vulnerable Vermonters.

### 1.4.4 Clinical Dependencies: Two Relationships That Connect Care Models to System Requirements

Clinical is the pillar that converts payment incentives into actual health outcomes. Its outbound dependency — to Operations — describes the operational requirements of clinical programs and their equity implications.

#### **Clinical → Operations: Care models require execution infrastructure · *REQUIRES***

The most consistently underestimated dependency in healthcare transformation. A care model is a diagram until it has workforce, credentialing, administrative infrastructure, and operational management. The Collaborative Care Model requires a behavioral health care manager employed by a primary care practice. The CCBHC model requires a certified entity with the organizational capacity to serve all patients regardless of insurance status. Blueprint PCMHs require care coordinators, health information exchange connectivity, and NCQA recognition processes. None of these are available without Operations pillar investment.

## VERMONT EVIDENCE

Oliver Wyman's Act 167 analysis found that Vermont's administrative cost per adjusted discharge runs far above the national benchmark — UVMMC at \$3,826 against a \$1,427 benchmark. This is not merely an inefficiency problem — it is a signal that Vermont's Operations pillar infrastructure is absorbing cost without producing the execution capability that clinical transformation requires. The RHRC engagement with all 14 Vermont hospitals is specifically designed to build the Operations pillar capacity that Clinical pillar programs need.

#### **Clinical and the Equity Imperative: care delivery expansion is the primary access gap mechanism**

Geographic and demographic disparities in healthcare access are primarily clinical access problems — not enough primary care providers, not enough behavioral health capacity, not enough community health workers in underserved communities. The equity imperative's access gap goals cannot be achieved without the Clinical pillar's care model expansion. Blueprint's PCMH expansion into Northeast Kingdom communities, the CCBHC network's geographic reach, and the CHT deployment in high-SDOH communities are Clinical pillar investments that directly serve equity imperative objectives.

## VERMONT EVIDENCE

Essex County's elevated uninsurance rate and limited primary care access are equity problems with a clinical solution — expanding Blueprint-participating practices in underserved HSAs, deploying telehealth through the RHT Program to reduce geographic access barriers, and certifying additional CCBHCs in Northeast Kingdom communities. Remove the Clinical pillar investment and the equity imperative's access gap remains unmeasured but unaddressed.

### 1.4.5 The Equity Imperative: Applying the Justice Test to Every Pillar

Equity is not a pillar with its own dependencies — it is the Equity Imperative every pillar is held to. The justice test (is it just?) applies to all five, designed in from the beginning rather than retrofitted. Two applications matter most, because they are where equity is most often lost: the design of policy, and the delivery of care.

#### *The Equity Imperative on Policy — does the mandate close disparities or widen them?*

Every policy decision in Vermont's transformation — the RBP rate methodology, the global budget design, the COE designation framework, the Statewide Strategic Plan structure — must be evaluated for equity impact before it is finalized. This is not post-hoc equity review; it is an equity constraint embedded in the policy design process. A RBP methodology that sets rates uniformly without adjusting for the market conditions faced by hospitals in underserved communities is technically correct and practically inequitable.

#### *The Equity Imperative on Clinical — effective, and effective for whom?*

Implicit bias in clinical settings, cultural incompetence, language access barriers, and differential treatment quality by race/ethnicity are clinical practice problems with equity implications. They are not solved by expanding access — expanding access to biased care widens some disparities while narrowing others. The Equity Imperative constrains the Clinical pillar's design by requiring that care models address cultural competence, language access, and practice variation as design requirements, not implementation afterthoughts.

### 1.4.6 Operations Dependencies: Two Feedback Relationships That Close the Loop

Operations is the pillar that executes all other pillars' intentions. Its two outbound dependencies run back to Technology and Policy — feedback relationships that make the system self-correcting rather than purely top-down.

#### **Operations → Policy: Implementation data feeds back into policy design · *ENABLES***

This is the feedback loop that allows the policy architecture to be self-correcting. AHS's monthly transformation reports to the Vermont Legislature — required under Act 68 — document whether transformation is proceeding on the statutory timeline, where gaps have emerged, and what adjustments are required. The GMCB's RBP methodology for FY2027 is being refined based on hospital financial data from the operations layer. The December 2028 Statewide Strategic Plan will be drafted based on what the Operations pillar has learned from implementing the preceding three years of transformation. This is not passive reporting — it is active policy learning.

#### **Operations → Technology: Workforce runs the data infrastructure · *REQUIRES***

The Technology pillar's infrastructure — VHCURES analytics, the CIN data platform, FHIR compliance, AI governance programs — does not operate itself. It requires IT staff to maintain systems, data analysts to generate the reports that clinical and financial management teams use, privacy officers to manage HIPAA compliance, and cybersecurity staff to protect the infrastructure from the ransomware threats that have disabled rural health systems nationally. The Operations pillar's workforce is the human substrate on which the Technology pillar's data infrastructure runs.

#### **VERMONT EVIDENCE**

Vermont's rural CAHs — Grace Cottage, Gifford Medical Center, North Country Hospital — have limited IT staff. This Operations pillar constraint directly limits their Technology pillar capability. The Vermont CIN's shared services model addresses this: a shared analytics and IT function within the CIN provides all 14 hospitals access to Technology pillar capability they cannot individually afford. The CIN is an Operations pillar solution to a Technology pillar gap.

## 1.5 The Failure Cascade: What Happens When a Pillar Is Missing

|                            |                               |                               |                                    |
|----------------------------|-------------------------------|-------------------------------|------------------------------------|
| 5<br>Pillars, All Required | 9<br>Dependency Relationships | 5<br>Failure Cascade Patterns | 1<br>Pillar Missing = System Fails |
|----------------------------|-------------------------------|-------------------------------|------------------------------------|

The most rigorous test of a dependency framework is not whether it describes how things work when all components are present — it is whether it accurately predicts what fails when a component is removed. The nine dependencies described above generate specific, testable failure-cascade predictions. The following analysis applies this test to each pillar.

| Pillar removed    | Immediate failure                                                                                                                        | Second-order failure                                                                                                                                                              | System-level outcome                                                                                                                        | Historical example                                                                                                           |
|-------------------|------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|
| <b>Policy</b>     | Payment reform remains voluntary; highest-cost actors opt out; rate benchmarks have no enforcement.                                      | Clinical programs continue without the financial incentive alignment that makes population health investment rational; technology is built but not used for financial management. | Incremental improvement among willing participants; no system-level change; ongoing premium inflation; hospital financial crisis continues. | Vermont 2010–2022: OneCare voluntary ACO. Modest results; 9/14 hospitals in losses by 2023.                                  |
| <b>Technology</b> | VBC contracts signed but not managed; attribution errors undetected; TCOC measurement unreliable; quality measures cannot be stratified. | Economics contracts produce unexpected losses; Clinical cannot identify high-risk patients before they hospitalize.                                                               | VBC produces losses for providers who cannot manage it; organizations exit VBC; payment reform stalls; equity gaps widen invisibly.         | Most early-CMMI ACO failures: organizations entered models without analytics and produced unexpected losses.                 |
| <b>Economics</b>  | Clinical programs continue under fee-for-service incentives; hospitals remain rewarded for volume, not value.                            | Primary care investment produces outcomes but cannot capture the financial return — the 5.8:1 ROI accrues to payers, not providers.                                               | Clinical quality improves at the margin; costs keep rising; the financial case for transformation cannot be made; fragility deepens.        | U.S. national experience: 20+ years of quality improvement without payment reform. Quality rose; cost growth continued.      |
| <b>Clinical</b>   | Payment reform changes incentives but has nothing to incentivize; global budgets create pressure without the programs that reduce cost.  | Operations manages financial pressure through service cuts rather than care redesign.                                                                                             | Hospital financial crisis accelerates under global-budget pressure; rural hospitals close.                                                  | Maryland HSCRC early period: global budgets without adequate primary care produced pressure without sustainable improvement. |

| Pillar removed    | Immediate failure                                                                                                       | Second-order failure                                                                                                                            | System-level outcome                                                                                                                                 | Historical example                                                                                                                 |
|-------------------|-------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| <b>Operations</b> | Statutory mandates exist on paper; clinical programs are designed; data platforms are procured; nothing is implemented. | Policy accountability fails without capacity to meet deadlines; platforms deployed but unused for management; contracts signed but not managed. | Transformation documents accumulate; deadlines slip; the 2028 Strategic Plan is descriptive rather than committal; the deficit trajectory continues. | Most state reform efforts of the 2010s: correct policy, adequate financing, sophisticated data — capacity insufficient to execute. |

Figure 1.4 — Failure-cascade analysis: what breaks when each pillar is absent. Sources: HTR analysis; CMMI evaluation literature; Oliver Wyman Act 167 Report; Vermont experience.

## 1.6 Using the Dependency Map as an Analytical Tool

The dependency map is not merely a theoretical framework — it is a practical analytical tool for three management functions: transformation sequencing, risk identification, and investment prioritization.

**1. Transformation sequencing — what must come first.** The dependency structure generates a partial ordering of interventions: some investments cannot produce their expected results until enabling investments are in place. Getting the sequence wrong is not merely inefficient — it produces failed interventions that generate political resistance to subsequent correct interventions. Sections 1.8 through 1.14 develop that ordering in full, returning to the OneCare failure examined in Section 1.2.

**2. Risk identification.** The dependency map identifies Vermont’s vulnerabilities with precision. The critical path runs through the Technology pillar’s analytics capability: Act 68 global budgets require VHCURES analytics, equity measurement requires demographic stratification, and clinical risk stratification requires the population health platform. The AHS-GMCB analytics capability — being stood up in 2025–2026 but not yet complete — is the single highest-risk gap in Vermont’s current architecture. Section 1.14.1 traces exactly how a delay there cascades across three separate downstream dependencies at once.

**3. Investment prioritization.** Not all pillar investments have equal leverage. An investment in a pillar with many inbound dependencies has higher leverage than one required by only a single pillar. The Technology pillar has the highest inbound dependency count in Vermont’s current architecture (Economics, Clinical, and Operations all require it); Operations is second (Clinical and Policy require it). The highest-leverage investments in Vermont’s current phase are therefore analytics capability deployment, AHS organizational capacity building, and HCC gap closure at AHEAD-participating hospitals.

## 1.7 The Vermont Thread: Five Pillars in One System

Vermont’s healthcare transformation is the closest thing to a controlled experiment in simultaneous five-pillar intervention that American health policy has produced. The following table maps Vermont’s primary reform vehicles onto the five-pillar framework, establishing the connective tissue that runs through every subsequent chapter.

| Pillar            | Primary Vermont intervention                                                                                                               | Secondary interventions                                                                                                                     | Developed in    |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
| <b>Policy</b>     | Acts 167 (2022), 51 (2023), 68 (2025): the legislative reform cascade; AHEAD Model State Agreement (January 2025)                          | Act 55 (drug pricing); Act 49 (insurer solvency); Act 62 (HIE governance); federal RHT Program award                                        | Chapters 2–3    |
| <b>Technology</b> | VHCURES all-payer claims database; Vermont CIN (RHT Program); AHS-GMCB data integration and analytics capability; AI scribe and RPM grants | VITL/VHIE HIE; DVHA HIT Plan (Act 62); statewide EHR feasibility assessment; FHIR compliance investments                                    | Chapters 4–5    |
| <b>Economics</b>  | Reference-based pricing (mandatory, FY2027); global hospital budgets (FY2028–2030); AHEAD total cost of care accountability                | <b>Act 68 hospital spending reduction (2.5%, FY2026); GMCB FY27 budget guidance (–1% commercial rate); Act 55 drug cap (\$135M savings)</b> | Chapters 6–7    |
| <b>Clinical</b>   | Blueprint for Health (all-payer PCMH + CHT); CoCM and MHI behavioral health integration; CCBHC expansion (5 entities by July 2026)         | Hub-and-Spoke SUD model; PACE program development; COE regionalization; dementia care infrastructure                                        | Chapters 8–9    |
| <b>Operations</b> | 14-hospital transformation planning (RHRC + AHS); Vermont CIN shared services; Act 68 transformation grants (\$2M); PMO establishment      | EMS regionalization; administrative simplification (CON, prior auth); AHS restructuring; Division of Planning and Effectiveness             | Chapters 11, 16 |

Figure 1.5 — Vermont’s five-pillar transformation map. Sources: Acts 167, 51, 55, 62, 68 of 2022–2025; AHEAD State Agreement; Vermont RHT Program Application; Oliver Wyman Act 167 Report.

This table is not a comprehensive inventory of Vermont’s healthcare reform. It is a navigation map — a way of locating Vermont’s specific interventions within the analytical framework that the subsequent chapters develop. The framework gives every Vermont policy intervention a structural home and every analytical concept a Vermont application.

## 1.8 From Framework to Sequence: Why Order Is Not Optional

Sections 1.3 through 1.7 established what the five pillars are and how they depend on one another. The dependencies establish something sharper still: that the pillars cannot be built in any order. A dependency is, by definition, a constraint on sequence — if Economics requires Technology, then Technology must come first. The rest of this chapter develops that argument, using Vermont’s OneCare failure as the case that proves what happens when the sequence is violated.

## 1.9 The Core Argument: Dependency Logic Determines Sequence

Strip away the state names and the claim is this: any organization or system attempting to move all five pillars — Policy, Technology, Economics, Clinical, and Operations — will fail if it deploys them against their dependency

order, and the failure will be structural rather than a matter of effort, funding, or political will. This is true whether the actor is a state government, a health system, or a payer, and regardless of which pillar feels most urgent at the time. Vermont is the case where both halves of this claim — the failure when the order is wrong, and the correction once the order is fixed — are fully documented and publicly visible, which is why it carries the argument in this chapter.

Vermont did not choose careful sequencing because it was disciplined. It was forced into it because it had the scars from earlier experiences and had run out of time to get it wrong.

When Oliver Wyman presented Vermont's hospital financial trajectory in September 2024 — nine of fourteen hospitals in operating losses, thirteen of fourteen projecting losses by 2028, a cumulative five-year system deficit between \$700 million and \$2.4 billion — the room understood something that policy documents rarely state directly: the cost of getting the sequencing wrong was now larger than the state's ability to recover. A decade of OneCare Vermont had demonstrated what the wrong sequence produces. Acts 167, 51, and 68 are the statutory attempt to build the right one.

The pillars are usually presented as simultaneous imperatives — each necessary, each dependent on the others. That is true, and it is the reason the framework holds. But it is useless to someone who has to commit a budget on Monday, because it says nothing about what to fund first.

The answer is not arbitrary, and it is not a matter of institutional preference or political opportunity. The execution sequence is determined by dependency logic — the structural reality that some things cannot produce value until other things are already in place. Getting the order wrong does not merely slow progress. It produces structural failures that are expensive to reverse, politically difficult to explain, and — as OneCare's experience shows — sometimes impossible to correct from within the organization that made the error.

The correct sequence is: Policy → Technology → Economics → Clinical → Operations. The critical and counterintuitive placement is Technology before Economics. Most reform architects reverse this, for understandable reasons: payment reform feels like the lever, technology feels like the support function. OneCare's failure is the proof that this instinct is wrong.

## BEYOND VERMONT

The Policy → Technology → Economics → Clinical → Operations sequence does not depend on a state having an all-payer model, a Green Mountain Care Board, or a single dominant ACO. Substitute any state's reform vehicle for OneCare and the same diagnostic question applies: did payment reform get layered onto a data infrastructure that did not yet exist? If so, the same cascade — unmeasurable risk, unmanageable contracts, eventual collapse — is the predictable result, not a Vermont-specific accident.

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## 1.10 The Critics: Why Sequencing Logic Has Real Opponents

The sequencing argument presented in this chapter — and the OneCare autopsy in Section 1.2 that motivates it — has critics, who deserve direct engagement rather than dismissal.

### 1.10.1 “Sequencing Is a Post-Hoc Rationalization”

The most sophisticated critique: sequencing frameworks are analytical stories told after the fact to explain failures that had multiple causes. OneCare failed for many reasons — not just sequencing errors, but inadequate provider

engagement, the complexity of Vermont’s payer landscape, and the inherent difficulty of achieving savings under a CMMI model with multiple confounders. Calling it a “sequencing failure” imposes a cleaner narrative than the evidence warrants.

This critique has merit. OneCare’s failure was overdetermined — it had more causes than sequencing alone. The sequencing analysis is useful not because it identifies the single cause but because it identifies the structural errors that made the failure architecturally inevitable regardless of operational quality. A car without brakes will crash regardless of how skilled the driver is. The sequencing failures in OneCare’s design were the missing brakes.

### 1.10.2 “Mandatory Architecture Creates Provider Opposition That Delays Reform”

A second serious critique: by making participation mandatory, Vermont’s approach creates an adversarial relationship with hospital systems that could be productive reform partners under voluntary models. Hospital opposition to mandatory reference-based pricing has been fierce and legally aggressive. UVMHC challenged GACB budget enforcement in court. A voluntary approach would face less resistance, move faster initially, and produce more durable buy-in.

The counterevidence is OneCare itself: a decade of voluntary reform produced modest results and left the financial crisis unaddressed.

**The choice is not between a smooth voluntary process and a contentious mandatory one. It is between a process that produces structural change — contentiously — and one that produces durable accommodation of the status quo — smoothly.**

Vermont’s legislature chose structural change. Chapter 14 (Political Sustainability) analyzes what it takes to maintain that choice across election cycles.

### 1.10.3 “Technology-First Is a Recipe for Expensive Shelfware”

A third critique targets the Technology-before-Economics sequencing specifically: building analytics infrastructure before the payment model that will use it often produces sophisticated technology that no one has the financial incentive or organizational capacity to deploy. Vermont’s VITL health information exchange is cited in this chapter as an example of technology deployed without the surrounding incentive structure — exactly the outcome the technology-first argument is supposed to prevent.

This critique identifies a real failure mode. The response is a distinction the framework makes explicitly: technology deployment must be coordinated with payment architecture design. Building VHCURES analytics capability in 2025–2026 while designing the AHEAD global budget methodology in parallel — so that the technology is built to serve a specific and known payment model — is different from building technology without a defined use case. The failure mode to avoid is not “technology before economics” but “technology without economics.”

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## 1.11 The Five Stages: Resolved

### 1.11.1 Stage 1: Policy — Mandate and Capital

Policy is the absolute precondition for everything that follows. Its two functions: it creates the mandatory architecture that prevents high-cost actors from opting out of reform, and it secures the transformation capital that funds the technology build.

Vermont's legislative progression illustrates both. Act 167 established the diagnostic foundation. Act 51 moved from diagnosis to planning, authorizing AHS to run transformation engagements with individual hospitals. Act 68 operationalized the mandate — converting voluntary reform into binding statutory requirements for global budgets and reference-based pricing. The AHEAD Model federal agreement layered in the federal funding that made the technology build financially feasible. The \$195-million-a-year Rural Health Transformation award — roughly \$975 million over its five-year term — is a Policy-pillar outcome, not an Economics-pillar outcome. Transformation capital comes from policy and regulatory relationships, not from the payment model itself.

### **1.11.2 Stage 2: Technology — Build the Substrate Before Assuming Risk**

Technology is the operating system on which every subsequent stage runs. It is not a layer added on top of a functioning reform. It is the foundation that makes reform functional. The required components: integrated clinical and claims data; data updated in near-real time; and shared infrastructure for organizations that cannot independently support sophisticated analytics.

Vermont's VHCURES provides longitudinal population data. VTTL/VHIE provides the clinical exchange. The AHS-GMCB analytics capability provides the modeling for global budget design and equity monitoring. The Vermont CIN provides shared capability to rural hospitals that individually lack the scale to build these functions.

The payment architecture design — Economics-as-design — happens in parallel during Stage 2. This is the work of specifying what the payment model needs to measure, which determines what the technology needs to do. But Economics-as-management — the operational work of running global budgets — does not go live until the technology substrate is functional.

### **1.11.3 Stage 3: Economics — Incentive Architecture on a Visible System**

Economics is third because its management function requires the technology substrate to already be operational. Vermont's economic architecture has two structural components. Reference-based pricing, targeted at 200% of Medicare rates or below, addresses the unit price problem: Vermont's commercial insurance rates run far above Medicare, creating a cross-subsidy that is neither sustainable nor equitable. Global hospital budgets address the volume dimension: setting a fixed total revenue envelope for each hospital makes volume expansion financially irrational.

Together, reference-based pricing and global budgets break the fee-for-service trap that makes population health management economically punishing for providers. This is the distinction between Incentive Architecture and Transformation Capital in practice: global budgets and reference-based pricing permanently restructure the payment environment, while transformation capital — the money to build the workforce, telehealth infrastructure, and community health worker programs the transformed system requires — comes from the five-year, \$195-million-per-year Rural Health Transformation Program. Because that capital is time-limited, Vermont's standing source for community health investment beyond the RHT period is not yet settled.

The equity constraint becomes operationally urgent at Stage 3. Global budgets designed without social risk adjustment inadvertently penalize safety-net providers serving high-SDOH populations. Vermont's Northeast Kingdom is the clearest example: a global budget benchmark without social risk adjustment generates financial pressure that reflects social disadvantage, not operational inefficiency. Social risk adjustment must be embedded in the payment design, not retrofitted afterward.

### **1.11.4 Stage 4: Clinical — Redesigning Care on Aligned Incentives**

Clinical redesign is where the economic return on the entire investment is realized. Patient-Centered Medical Homes transform primary care from acute episodic treatment into proactive population management. The Collaborative Care Model integrates behavioral health into primary care. Vermont's Blueprint for Health generated

a 5.8-to-1 return on investment from its primary care investment — among the most robust ROI findings in the value-based care literature.

Clinical redesign comes fourth because clinical transformation without economic alignment reverts when the incentives revert. Clinicians redesign their practice in response to the incentives they face and the data available to them. Without a payment model that rewards the redesigned care — already live at Stage 3 — and without the technology to identify which patients need which interventions — already built at Stage 2 — clinical transformation is isolated, unsustainable, and unable to demonstrate the population-level outcomes that justify its cost.

### 1.11.5 The Equity Imperative: A Constraint Across Every Stage

Equity is not a stage in the sequence — it is the Equity Imperative applied across every stage, a constraint that runs through each rather than a final add-on applied to a finished system. Vermont's 11-point primary care access gap between white and BIPOC residents is not closed by a late audit. It is closed by the stages working in sequence with equity built in: payment design that does not penalize safety-net providers (Economics), clinical redesign deploying Community Health Teams in underserved areas (Clinical), and the measurement that checks whether those interventions are actually closing the gap.

What the Equity Imperative adds is systematic, population-level measurement of whether the equity commitments embedded in every stage have produced equitable outcomes — and the corrective action, informed by real data from a functioning system, when they have not.

### 1.11.6 Stage 5: Operations — Closing the Administrative Cost Gap

Operations is the execution layer that converts all prior-stage investments into organizational reality. Vermont's critical-access and rural hospitals spend \$2,730 per discharge on administration, compared to a national benchmark of \$1,427. This \$1,303 per-discharge gap represents the primary source of the \$100 million or more in projected direct savings from shared services and administrative simplification.

Operations is last not because it is least important, but because operational redesign requires the technology infrastructure, payment incentives, and clinical models of the preceding stages to already be in place.

**A hospital that redesigns its administrative operations before its payment model is live will optimize for a fee-for-service world that the reform is designed to replace.**

| # | Pillar     | Key action                                                                                            | Why this sequence                                                                                                                           | Vermont anchor                                                 |
|---|------------|-------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|
| 1 | Policy     | Establish enforceable authority, mandate participation, secure transformation capital                 | Nothing can be authorized, built, or funded without statutory permission. Mandatory architecture prevents high-cost actors from opting out. | Acts 167, 51, 68; AHEAD State Agreement; \$195M/yr RHT award   |
| 2 | Technology | Build integrated clinical + claims data infrastructure — real-time — before financial risk is assumed | Technology is the operating system. Must be operational before Economics goes live. “Managing Blind” is the failure mode.                   | VHCURES; VTTL/VHIE; AHS-GMCB analytics capability; Vermont CIN |
| 3 | Economics  | Deploy global budgets and RBP onto a system that can already see itself                               | Economics-as-management requires the technology substrate. Payment design                                                                   | <b>Global hospital budgets: RBP at ≤200% Medicare;</b>         |

| # | Pillar     | Key action                                                                         | Why this sequence                                                                                                                                               | Vermont anchor                                                         |
|---|------------|------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
|   |            |                                                                                    | (Economics-as-design) happens in parallel during Stage 2.                                                                                                       | <b>EAST Fund up to \$150M annually</b>                                 |
| 4 | Clinical   | Redesign care on aligned incentives                                                | Clinical transformation is where ROI is realized — but only when payment incentives are live and technology identifies which patients need which interventions. | PCMH transformation; CoCM; CCBHC expansion; Blueprint 5.8:1 ROI        |
| 5 | Operations | Close the administrative cost gap and translate strategy into implemented programs | Operations is the execution layer. Vermont's \$1,303 per-discharge administrative gap vs. national benchmark is the primary source of projected direct savings. | RHRC methodology; shared services; 14-hospital transformation planning |

Figure 1.6 — The Five-Stage Execution Sequence. Source: HTR Analysis (2026).

## 1.12 Three Sequencing Principles in Practice

Correctly applying the five-stage sequence to real investment decisions requires three operating principles — the rules a reform architect uses to decide what to fund now, what to fund in parallel, and what to hold until an upstream gate opens.

### 1.12.1 Principle 1: The Critical Path Is Non-Negotiable

The five-pillar framework identifies three critical-path dependencies: Policy enables Economics, Economics drives Clinical, and Technology enables Economics-as-management. These are not preferences or best practices — they are structural requirements. Violating them does not produce suboptimal results; it produces failed interventions that generate political resistance to the correct interventions that follow.

Critical-path dependencies cannot be shortcut by allocating more resources to the downstream intervention. A hospital that signs a full-risk global budget contract before its VHCURES analytics capability is operational has not accelerated its transformation — it has exposed itself to financial losses it cannot explain, cannot dispute, and cannot manage. The analytics capability cannot be retroactively built while the contract is running. The sequence cannot be reversed after it has been violated.

In practice, reading the critical path means identifying which investments are *gates*.

#### WHAT A “GATE” MEANS IN THIS BOOK

Picture the pillars as a series of locked gates on a single road. A pillar's gate is the work that pillar must complete before traffic can pass through to the pillar behind it.

**A gate is OPEN when that pillar's prerequisite work is finished** — the statute is enacted, the analytics are running, the contracts are signed. Downstream investment can now proceed and produce its intended value.

**A gate is CLOSED when that work is unfinished.** Money spent downstream of a closed gate does not fail loudly; it fails quietly, producing results nobody can use until the gate opens. That is why the sequence cannot be bought past — see Principle 1.

**You open a gate by completing the work, not by deciding to proceed.** A gate opens on evidence: the capability exists and is operating. Declaring a milestone met does not open it.

Throughout this chapter, “open” always means *passable — the work is done*, and “closed” always means *blocked — the work is not done yet*.

Vermont’s critical-path sequence for hospital global-budget implementation under Act 68 reads as four gates in order:

- **The Policy gate — OPEN since June 2025.** Act 68 established mandatory RBP (FY2027) and global budgets (FY2028). All Vermont hospitals are now inside the mandatory architecture, so nothing downstream is waiting on statutory authority.
- **The Technology gate — PARTIALLY OPEN; the current bottleneck.** VHCURES analytics, HCC gap closure and attribution modeling must all be operational before Act 68’s hospital global budgets take effect in FY2028.
- **The Economics gate — CLOSED until Technology opens.** The global budget contracts GMCB sets for FY2028 cannot be managed before the analytics that measure performance under them exist.
- **The Clinical gate — CLOSED until clinical programs reach scale.** Utilization reduction must be operating before the full financial accountability of global budgets takes effect.

### 1.12.2 Principle 2: Parallel Work Is Possible — But Not on Critical-Path Dependencies

The critical path is sequential by definition. But the framework does not require that *all* work be sequential. Many investments can proceed in parallel, as long as none of the parallel tracks violates a critical-path dependency.

Vermont’s current architecture illustrates this. While the Technology gate is still being opened — analytics capability deployment, VHCURES integration — work proceeds in parallel on Equity design (social risk adjustment methodology for global budgets), Operations capacity building (RHRC hospital transformation planning, AHS PMO establishment), and Clinical infrastructure (Blueprint PCMH expansion, CCBHC certifications).

None of that parallel work sits behind the Technology gate. Designing a social risk adjustment methodology, training hospital transformation teams and certifying CCBHCs all produce their full intended value whether or not the analytics are running yet, so they can proceed now without violating any critical-path dependency.

The diagnostic question for any proposed parallel investment: *does this investment have an unmet upstream dependency?* If yes — if its effectiveness depends on a gate that is not yet open — it is not parallel work. It is premature work that will produce either wasted results or results that cannot be used until the upstream dependency is met.

### 1.12.3 Principle 3: Equity Is a Design Constraint, Not a Downstream Filter

The most common sequencing error organizations make with the equity imperative is treating equity review as the last step before a decision is finalized rather than as a constraint embedded in the design process.

Equity-as-last-step produces expensive redesigns at the approval stage. Equity-as-design-constraint asks the equity-implication question at the *beginning* of the design process — shaping the instrument rather than filtering it.

In practice, embedding equity as a design constraint requires two organizational changes: adding equity review to the *initiation* criteria for policy and program design (not only the approval criteria), and ensuring that Health Equity Advisory Commission consultation under Act 68 happens early in the design cycle rather than at the comment stage. Vermont’s statutory framework requires equity consultation — it does not specify when in the process that consultation must occur. Organizations that treat it as early design input rather than late validation produce more equitable outcomes with less redesign cost.

### TRY THIS — Test a critical-path violation.

Open the **HTR Simulator** and model an organization that funds a downstream pillar before its upstream gate is open — for example, high Economics ambition with a weak Technology score. Watch the composite readiness collapse. Then open the **Transformation Friction Index** to see which pillar is your binding constraint. The principle is simpler to feel in the tool than to argue on the page: no amount of downstream funding opens an upstream gate. Spending more on the payment model does not make the missing analytics appear.

### GO DEEPER — ACADEMY

The dependency mechanics behind these three principles are the subject of the Academy’s **Five Pillars, One Imperative** course — specifically Lesson 4, “Dependency Logic and the Execution Sequence,” and Lesson 5, “Sequencing Failure — The OneCare Autopsy.” Start there before applying the sequencing framework to your own organization or state.

## 1.13 Five Sequencing Decisions That Organizations Get Wrong

The OneCare autopsy in Section 1.2 is the fully documented case. The same errors recur, in generalizable form, across every transformation effort. **Figure 1.7** is the diagnostic version — the pattern to recognize, the early-warning signals that reveal it before it fully cascades, and the correction — so a reform architect can catch a sequencing error in their own system while it is still cheap to reverse.

| Sequencing error                                                                                       | Early-warning signals                                                                                                        | Vermont evidence                                                                                                                                                                 | Correction                                                                     |
|--------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|
| <b>Economics without Policy readiness</b> — payment reform launched without mandatory participation    | Voluntary participation below 80%; highest-cost payers or providers stay out; redesigns driven by adverse selection          | OneCare Vermont (voluntary architecture normalized over roughly a decade, making the later transition to mandatory reform more disruptive than it would have been at the outset) | Act 68 mandatory RBP + global budgets                                          |
| <b>Technology without Operations readiness</b> — platform deployed to an org that cannot use it        | Adoption below 30% six months post-deployment; continued manual processes; staff workarounds                                 | VITL: sound platform, incomplete adoption among smaller providers for lack of Operations-pillar support to connect and train them                                                | Vermont CIN shared-services model                                              |
| <b>Clinical without financial alignment</b> — high-quality program run under fee-for-service           | Program running at a loss absorbed by cross-subsidy; support contingent on that cross-subsidy; perpetual budget-cut risk     | Blueprint PCMHs produce the 5.8:1 ROI, but under FFS most of it accrues to payers, not the practices generating it                                                               | Act 68 global budgets align incentives with clinical investment                |
| <b>Equity review at the end, not the beginning</b> — methodology finished, then sent for equity review | Equity staff flagging the same structural problems in finalized designs; high rate of equity modifications at approval stage | RBP methodology design is the live test case: preserving rural access and not defunding high-Medicaid hospitals is a design question, not a post-hoc correction                  | Health Equity Advisory Commission consulted at design stage, not comment stage |

| Sequencing error                                                                                 | Early-warning signals                                                                                                        | Vermont evidence                                                                                                                                    | Correction                                                                                |
|--------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| <b>Operations execution without adequate capacity</b> — mandate outpaces organizational capacity | Statutory deadlines extended or waived; deliverables perpetually “in progress”; governance that convenes but does not decide | AHS must run 14 hospital transformation processes, RBP finalization, and the Strategic Plan at once — capacity Oliver Wyman flagged as insufficient | RHRC builds hospital-level capacity before global-budget accountability takes full effect |

Figure 1.7 — Five sequencing errors: the diagnostic pattern, early-warning signals, and correction for each. Sources: HTR analysis; Vermont experience; Oliver Wyman Act 167 Report.

## 1.14 Vermont’s Implementation Timeline: Reading the Sequence in Statutory Deadlines

Vermont’s transformation is unusual in one critical respect: it has a legislatively mandated implementation timeline that is legally binding, not aspirationally stated. Reading this timeline through the sequencing framework reveals both Vermont’s correct sequencing decisions and its current critical vulnerabilities.

| Pillar            | Status (timeframe)      | Where it stands                                                                                                                                                                                                                                                                                                        |
|-------------------|-------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Policy</b>     | Completed (2022–2025)   | Acts 167, 51, and 68 establish the mandatory architecture. Federal RHT award provides capital. AHEAD State Agreement signed January 2025 (subsequently withdrawn July 2026). The Policy gate is fully open — the statutory architecture is complete, so nothing downstream is waiting on it.                           |
| <b>Technology</b> | In progress (2025–2026) | AHS-GMCB analytics capability being stood up. Vermont CIN under development. VHCURES attribution modeling in progress. AI scribe and RPM grants deployed. The current critical bottleneck. The Technology gate is partially open: some capability is running, but not enough for the Economics gate behind it to open. |
| <b>Economics</b>  | Staged (2027–2028)      | RBP mandatory beginning FY2027, global budgets mandatory beginning FY2028. The sequence is correct: mandatory payment reform follows mandatory policy authority and follows the technology build in design.                                                                                                            |
| <b>Clinical</b>   | Parallel (2024–2028)    | Blueprint PCMH expansion, CCBHC certifications, CoCM deployment proceed in parallel with Technology work — correctly, because they produce their value regardless of whether the Technology and Economics gates have opened yet.                                                                                       |
| <b>Operations</b> | Building (2025–2028)    | RHRC engagement, AHS HSA Coordinator model, Division of Planning and Effectiveness, PMO structure — correctly sequenced to precede the peak execution demand of FY2027–2028.                                                                                                                                           |

Figure 1.8 — Vermont’s transformation timeline, by pillar. Sources: HTR Analysis (2026); Act 68 of 2025; AHEAD State Agreement.

### 1.14.1 The Current Vulnerability: The Technology-Economics Race

Vermont’s most significant current sequencing risk is the gap between the FY2028 start of Act 68’s hospital global budgets and the analytics-capability deployment timeline. Vermont hospitals will begin bearing global-budget financial accountability in January 2028. If the AHS-GMCB analytics capability is not fully operational by that date,

hospitals will be making financial management decisions based on incomplete or lagged data for the first year of full Act 68 global-budget accountability.

This is a manageable but costly risk. Vermont hospitals that invest in their own VHCURES analytics capability — particularly HCC gap closure, the highest-ROI pre-launch analytics investment — can partially compensate for the analytics capability gap. A delay in that capability’s deployment does not merely delay one program: it delays the financial management capability for AHEAD, the equity measurement capability for the Statewide Strategic Plan, and the risk stratification capability for Blueprint’s CCBHC expansion. Three dependencies converge on this single Technology pillar investment.

## 1.15 EXPLORE ON THE PLATFORM

The execution-sequence argument is best understood by manipulating it, not just reading it. The HTR platform turns this chapter’s three core claims — that the pillars are interdependent, that order is non-negotiable, and that getting the order wrong produces a measurable failure cascade — into tools you can run against your own organization or state.

| Do this                                                                                                             | On this tool                                  | What to look for                                                                                                                                     |
|---------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| Trace the 9 dependency relationships between the five pillars and see which downstream pillars a given gap disables | <b>Five-Pillar Map</b> — /about/framework     | Click any pillar to highlight what it enables and what it depends on. Confirm visually why Technology sits upstream of Economics.                    |
| Score a real organization or state across all five pillars and watch the composite readiness number respond         | <b>HTR Simulator</b>                          | Drop one pillar’s score to zero and observe the cascade — the simulator penalizes downstream readiness, reproducing the OneCare logic in Figure 1.1. |
| Quantify where reform is losing momentum and which pillar is the binding constraint                                 | <b>Transformation Friction Index</b>          | Identify your own “Technology gate” bottleneck — the chapter’s central Vermont vulnerability — before it becomes a financial one.                    |
| Model how one pillar’s shortfall propagates through the other four over time                                        | <b>Impact Simulation</b> — /impact-simulation | The lag: a Technology gap shows up in Economics results a year later, which is why it is missed.                                                     |

Figure 1.9 — Hands-on platform tools for Chapter 1: working the execution-sequence argument on the HTR platform.

### TRY THIS — Reproduce the OneCare cascade.

Open the **HTR Simulator** and build a profile with strong Economics ambition (high) but weak Policy mandate (voluntary) and weak Technology substrate (no integrated real-time data). The composite score should collapse — not because the Economics inputs are bad, but because the simulator enforces the same dependency logic that sank OneCare. Then fix the order: raise Policy and Technology first, and watch the same Economics inputs finally produce a viable score. That reversal *is* the argument of this chapter.

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## 1.16 GO DEEPER — ACADEMY

This chapter is the subject of Track 1, “Foundations: The Framework,” in the Academy’s **Five Pillars, One Imperative** course:

| Lesson                                              | What it covers                                                                                   |
|-----------------------------------------------------|--------------------------------------------------------------------------------------------------|
| 1 — Why Single-Pillar Thinking Fails                | The CMMI record and why isolated interventions run into the constraints the other pillars create |
| 2 — The Five Pillars and Their Diagnostic Questions | The five-question framework this chapter defines                                                 |
| 3 — The Equity Imperative: Is It Just?              | Why equity is a cross-cutting test, not a sixth pillar                                           |
| 4 — Dependency Logic and the Execution Sequence     | The dependency matrix and the<br>ENABLES/REQUIRES/DRIVES/IS vocabulary                           |
| 5 — Sequencing Failure — The OneCare Autopsy        | The three-part failure this chapter opens with, worked in full                                   |

*Figure 1.10 — Academy Track 1 lessons mapped to this chapter.*

Start at /academy — Track 1 is built to be worked alongside this chapter, not after it.

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## 1.17 Implications for You

If you are a Vermont hospital executive: The most important action you can take before Act 68’s global budgets take effect in FY2028 is completing HCC gap closure for your full Medicare-attributed population. This single Technology pillar investment improves risk adjustment accuracy, produces a more defensible global budget benchmark, and prevents the “Managing Blind” failure mode in your first AHEAD performance year. Do not wait for the AHS-GMCB analytics capability to complete this work. Start with VHCURES direct access and your current analytics resources now.

If you are an AHS or GMCB official: The Technology gate is your critical bottleneck, and it has a hard deadline — analytics capability must be operational before Act 68’s FY2028 global budgets take effect. The three-dependency convergence — global-budget management, Statewide Strategic Plan measurement, CCBHC risk stratification — means that a delay in the analytics capability is a compound failure across multiple statutory obligations. This deserves the urgency of a critical-path emergency, not the pace of a standard procurement.

If you are a Vermont legislator: The sequencing framework translates directly into the right oversight questions to ask AHS and GMCB at every reporting interval: Is the Technology gate open — analytics actually operating, not merely procured — before the Economics gate goes live? Is the RBP methodology being designed with equity constraints from the beginning, or will the equity review happen at the approval stage? Is the RHRC engagement building hospital-level Operations capacity ahead of AHEAD’s clinical accountability requirements? These three questions will determine whether Act 68’s mandates produce the transformation they were designed for.

If you are a national health policy professional: Vermont’s OneCare failure is the most precisely documented sequencing failure in recent American health policy. Before designing or evaluating any state total-cost-of-care model, ask three questions: Is participation mandatory or voluntary? Is the technology substrate operational before

financial risk is assumed? Is the equity constraint embedded in the payment design or appended at the review stage? The answers predict outcome more reliably than any other design feature of the model.

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## 1.18 Key Concepts in This Chapter

**Dependency logic** The principle that some pillar investments cannot produce results until upstream enabling investments are in place. Determines the execution sequence.

**Execution sequence** The order in which the five pillars must be built: Policy, Technology, Economics, Clinical, Operations. Determined by structural dependency, not by the relative importance of each pillar.

**Critical path gate** A prerequisite investment that must be in place before a downstream pillar investment can be productive. A gate is *open* when that work is finished and *closed* while it is unfinished; it is opened by completing the work, never by deciding to proceed. Cannot be bypassed by allocating more resources downstream.

**“Managing Blind” failure mode** Assuming downside financial risk under a value-based payment model without the analytics infrastructure to track total cost of care in real time. Produces unexpected, unexplainable losses.

**Sequencing failure** Deploying a downstream pillar before the upstream enabling investment is in place. OneCare Vermont is canonical: Economics (voluntary ACO) deployed without Policy mandate and Technology substrate.

**Voluntary vs. mandatory architecture** The distinction between reform programs actors can opt out of and those they cannot. Act 68 establishes mandatory RBP and global budgets — eliminating voluntary opt-out.

**Economics-as-design vs. Economics-as-management** Design (defining the payment architecture) can proceed in parallel with the technology build. Management (operating the model) requires the technology substrate to be operational first.

**Transformation capital vs. incentive architecture** Transformation capital (RHT award, EAST Fund) is time-limited bridge funding for infrastructure. Incentive architecture (global budgets, RBP) is permanent structural change to the payment environment. Confusing the two produces unsustainable programs.

**Reform cascade** A legislatively structured sequence where each intervention creates capacity and legitimacy for the next. Vermont’s Act 167 → Act 51 → Act 68 is the prototype.

**HCC gap closure** The highest-ROI pre-global-budget analytics investment: completing hierarchical condition category documentation for all Medicare-attributed patients before global budgets take effect. Improves risk adjustment accuracy and produces a more defensible global budget benchmark.

**Parallel work** Investment that proceeds simultaneously with critical path work because it sits behind no closed gate. Test: could this investment produce its full intended value today, with upstream pillars in their current state?

**Premature investment** An investment in a downstream pillar that proceeds before the upstream enabling investment is in place. Most common forms: Technology deployment without Operations readiness; Economics contracts without Technology analytics readiness.

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*Sources: Vermont Agency of Human Services, Health Care System Transformation Report (November 2025); Oliver Wyman Healthcare and Life Sciences Group, Act 167 Community Engagement: Recommendations (August 2024, revised October 2024 and January 2025); Vermont AHEAD State Agreement (January 2025); CMS AHEAD Model documentation (September 2025 update); Vermont Blueprint for Health Annual Report 2024; Act 68 of 2025; OneCare Vermont ACO annual reports (2014–2023); Maryland HSCRC Total Cost of Care Model data; GMCB FY25 and FY26 Hospital Budget Orders; Gobeille v. Liberty Mutual Ins. Co., 577 U.S. 312 (2016); VTDigger, “Vermont’s largest health insurer steps away from OneCare” (Dec. 20, 2022); VTDigger, “Vermont’s 8-year ‘all-payer’ health care experiment sunset at the end of 2025. What did it teach us?” (Mar. 13, 2026); Vermont State Auditor performance audits of OneCare Vermont (2019, 2021).*